



CO-OPERATIVE BANK OF KENYA LTD

GROUP FINANCIAL RESULTS ANALYST BRIEFING

Q3 2017

9th November 2017

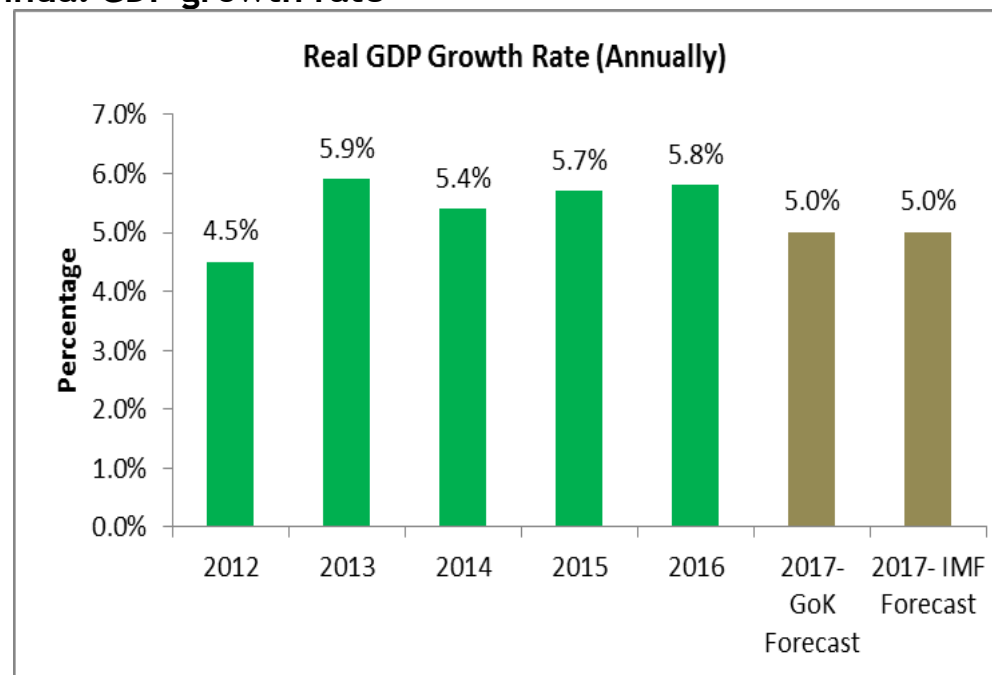
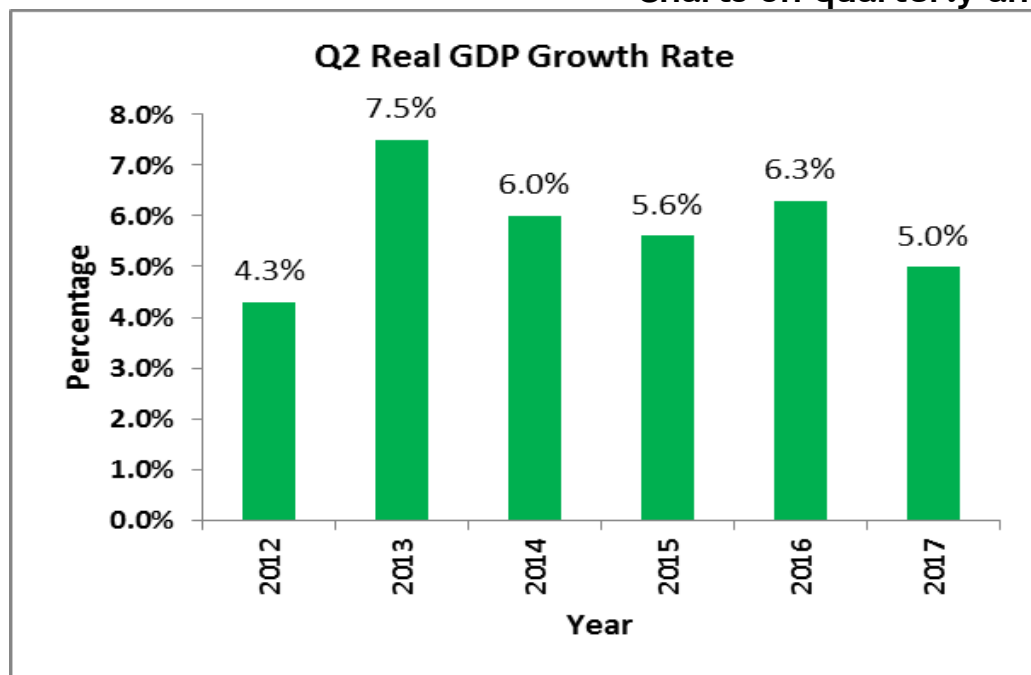
A world map with a light green color scheme, showing the outlines of continents and countries. The map is centered on the Atlantic Ocean, with North and South America on the left and Europe, Africa, and Australia on the right.

Macro Economic Update



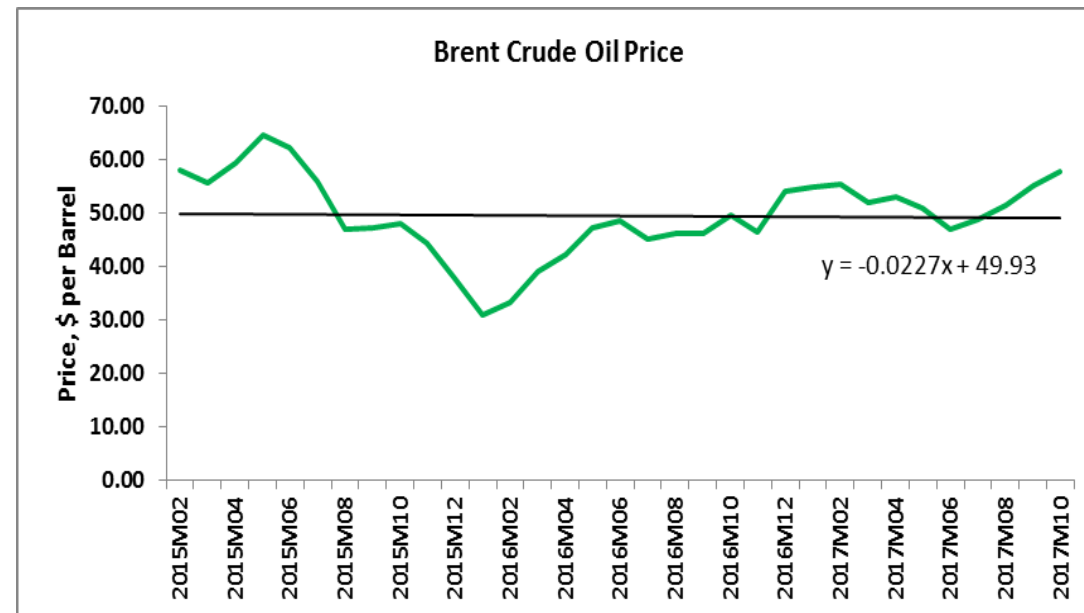
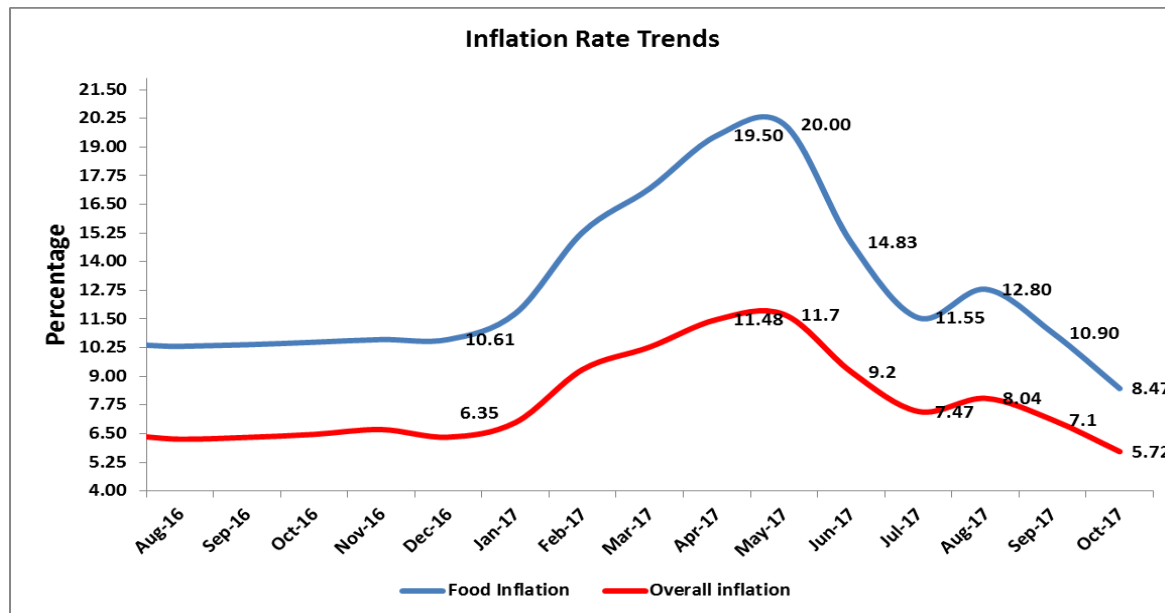
- ❖ Kenya's Q2 GDP growth rate remained relatively resilient at 5% supported by a recovery in Agriculture following improved weather patterns , government infrastructure investment, low oil prices and improved tourism inflows.
- ❖ The 2017 full year GDP growth is forecast at about 5%

Charts on quarterly and annual GDP growth rate



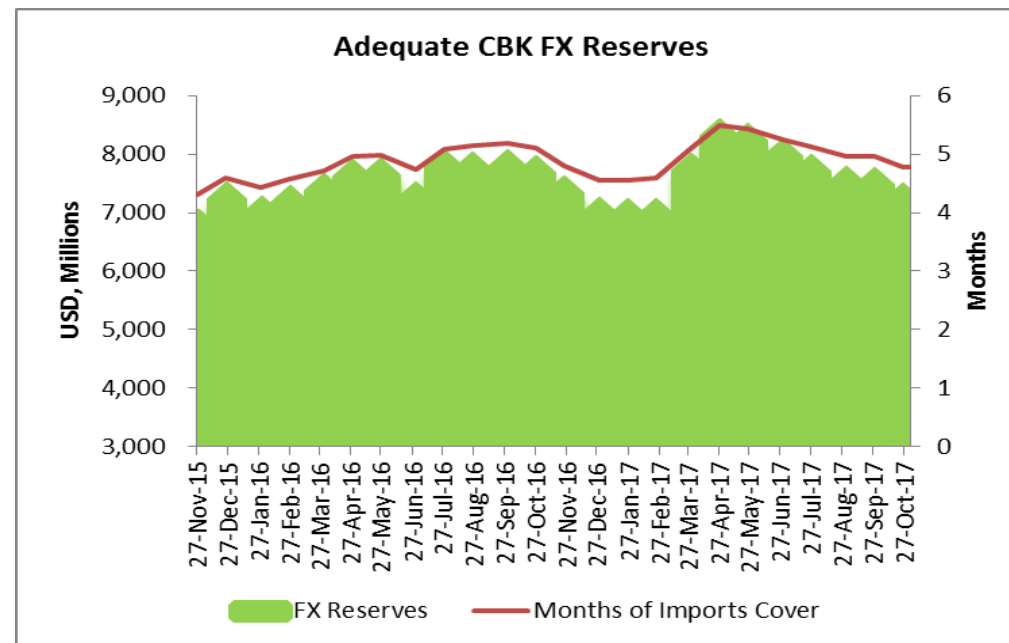
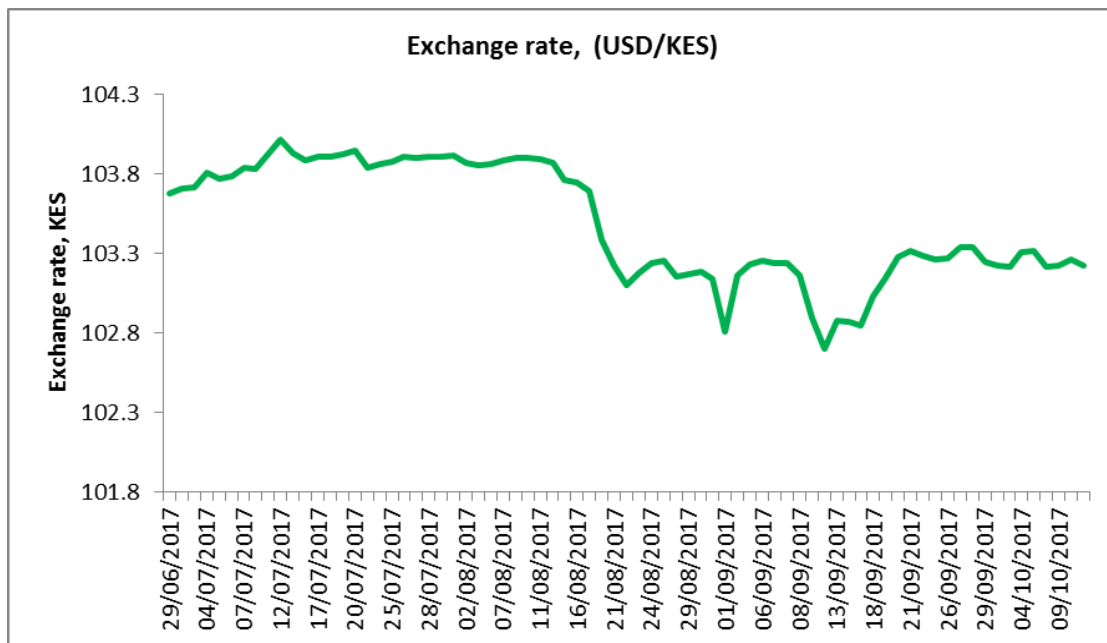


- ❖ Overall rate of inflation in Q3 averaged 7.5%. Month-on-month, inflation rate fell from 9.2% in the month of June to 5.7% in October.
- ❖ The improved weather conditions and Government measures resulted in further price decreases of key food items in the review period.
- ❖ Fuel inflation averaged 3.1% in Q3 down from 3.5% in the second quarter.
- ❖ Non-food-non-fuel inflation remained stable at 3.8% in 3Q 2017 down from 4.3% in the previous quarter, indicating little pressure on the demand side.



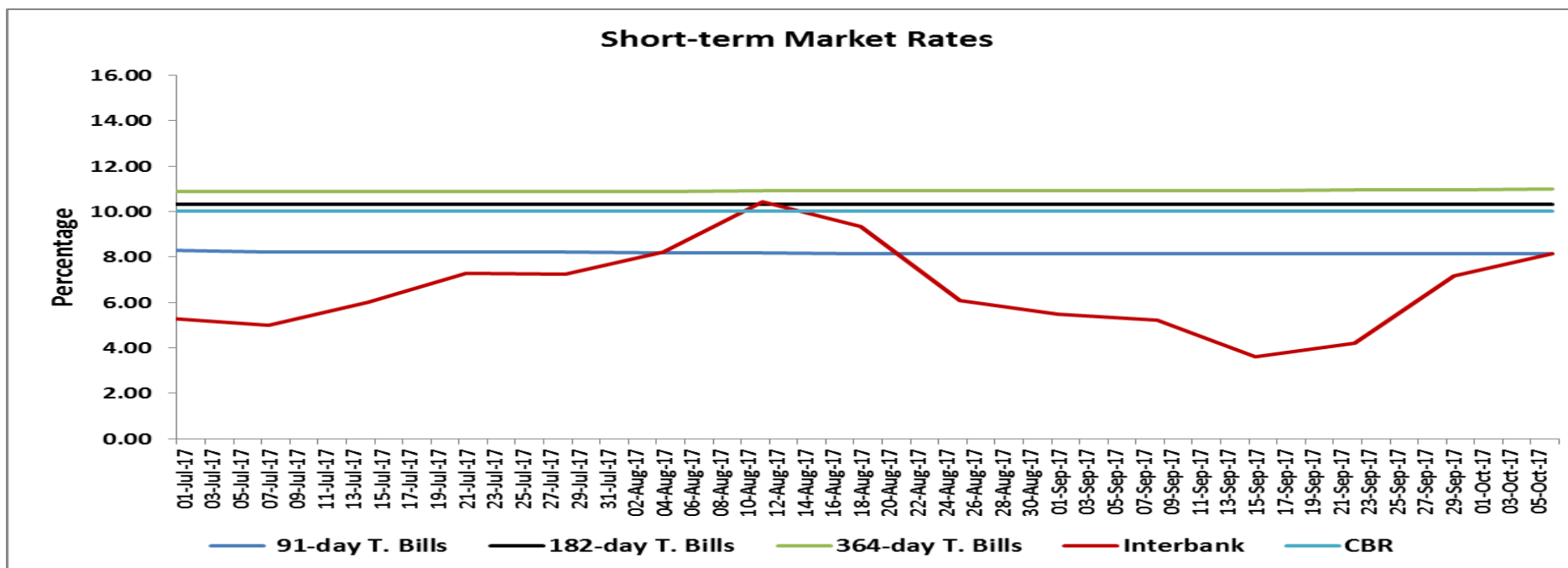
Macro-economic Update: Currency

- ❖ The KES exchange rate against the USD has remained relatively stable between a range of KES 102 to KES 104 during the period July to September 2017.
- ❖ The Central Bank of Kenya has had fairly adequate foreign exchange reserves to intervene in the market.





- ❖ Interest rates have remained fairly unchanged in Q3 and in most of 2017.
- ❖ CBR has been held at 10%, and thus maximum commercial banks lending rate at 14%. However, overall industry lending rate has averaged at 13.7%
- ❖ The average inter-bank rate was volatile in Q3 and was above 8% in August and early October. Even though the average industry liquidity level remained over 40%, some banks faced liquidity challenges.



A Successful Universal Banking Model

Co-operatives Banking

Large Saccos
Housing Saccos
Agri Business
PSV/ Transport Saccos
Investment Saccos

Retail Banking

Micro Credit
Small Medium Enterprises (SME)
Personal Banking (mass & affluent)
Diaspora Banking
Banking the youth (Yea & Jumbo Junior)
Asset Finance

Corporate & Institutional Banking

Corporate banking
Government Banking
Institutional Banking
Structured, Trade & Commodity Finance
NGO's
Treasury

Subsidiaries

Co-operative Bank of South Sudan
Co-op Consultancy & Insurance Agency
Co-op-Trust Investment services Ltd
Kingdom Securities Ltd

Associates

We own 26% of CIC Insurance
CIC Owns 31% of CIC Africa
CIC has a Presence in Uganda, Malawi & South Sudan

Foundation

Co-op Foundation; Supporting Bright, Needy students in all counties

The Chairman Mr. Stanley Muchiri (EBS) and The Vice- Chairman Mr. Julius Riungu have retired from the Board of Directors after attaining the set retirement age. This is following a most celebrated exemplary leadership of the Bank.

The new Chairman is Mr. John Murugu (OGW) and the new Vice Chairman is Mr. Macloud Malonza

Our channels

149 Branches

Mcoop cash mobile banking
(All telco, all products)

Co-op Kwa Jirani-Over 10000 agents

Over 580 ATMs, leading debit card issuer

CoopNet- Internet Banking (Corporate & Retail)

24 Hour Contact Centre

Self service Kiosks in all our branches

Dedicated Diaspora Banking Department

560 FOSAs

Subsidiaries offering advisory and investment services

Social Media Banking

Our customers

Over 6.8 Million growing direct account holders

Over 3.46 Million Mcoop Cash Customers

Over 77,923 Internet banking Customers

Over 1,040,691 Saccolink Customers

Over 13,533 Diaspora Banking Customers

Over 1.1 million Facebook followers

Over 169,000 Twitter followers

Instagram followers, You Tube subscribers

Telegram self service customers

“Soaring Eagle” Transformation Project Update

Organization review and design by McKinsey & Co.

2014

Implementation and sustainability

2015

Implementation and sustainability

2016

IFC review on ‘Digital Bank’ & Business Banking

2017

1 Branch Transformation & Channel migration

2 Sales Force Effectiveness

3 Shared Services & Digitization ‘The Digital Bank’

4 NPL Management & Credit processes

5 Cost Management

6 Data Analytics

7 MSME Transformation

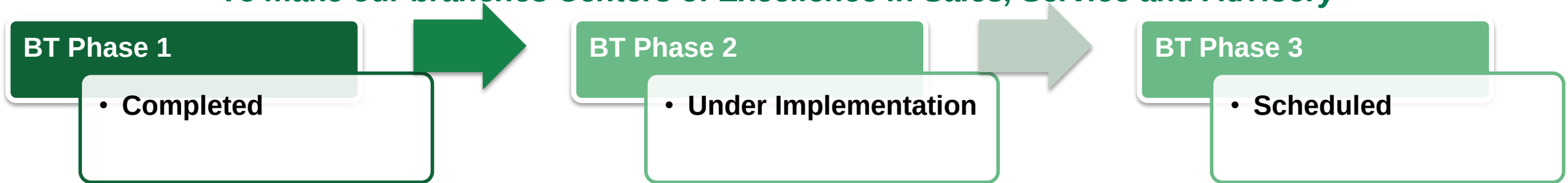
8 Staff Productivity

Key Achievements from Dec 2014;

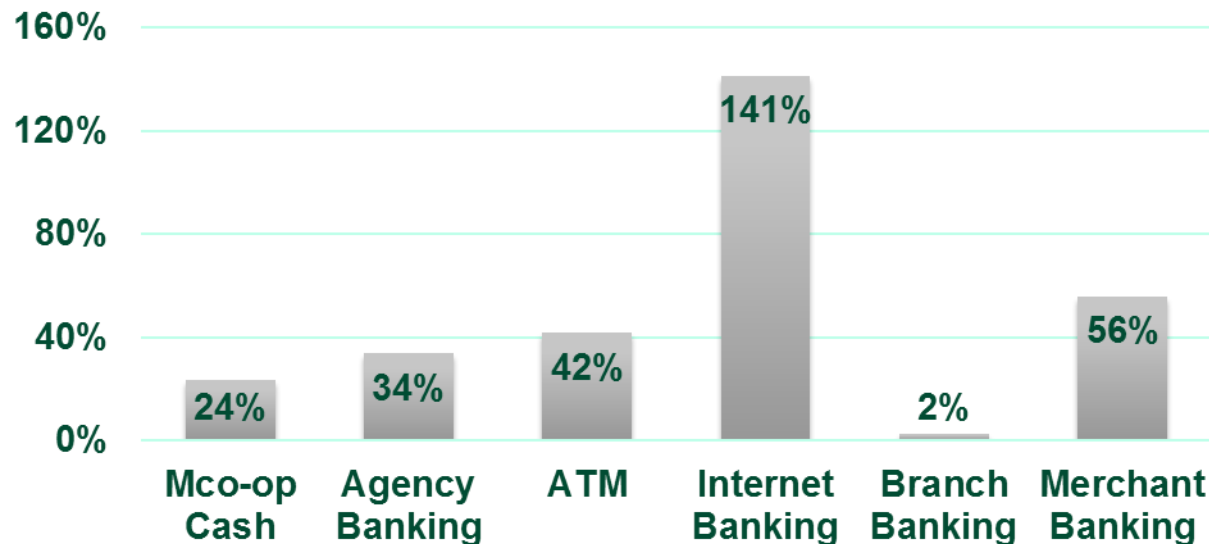
- ✓ 11 minutes queue time from 52 Minutes
- ✓ 86% of transactions are now on alternative channels giving us an opportunity to turn our branches into sales, service and advisory centers
- ✓ FX to non funded income +16%
- ✓ Return on Average Assets +10%
- ✓ Return on Risk Weighted Assets +9%
- ✓ Cost to income has improved from a high of 59% to 47.6%, a 19% improvement

Branch Transformation(BT 2.0.) and Channel Migration

“To make our branches Centers of Excellence in Sales, Service and Advisory”



**Impact of initiatives: Transaction volume growth
Q32016 to Q32017**



Benefits

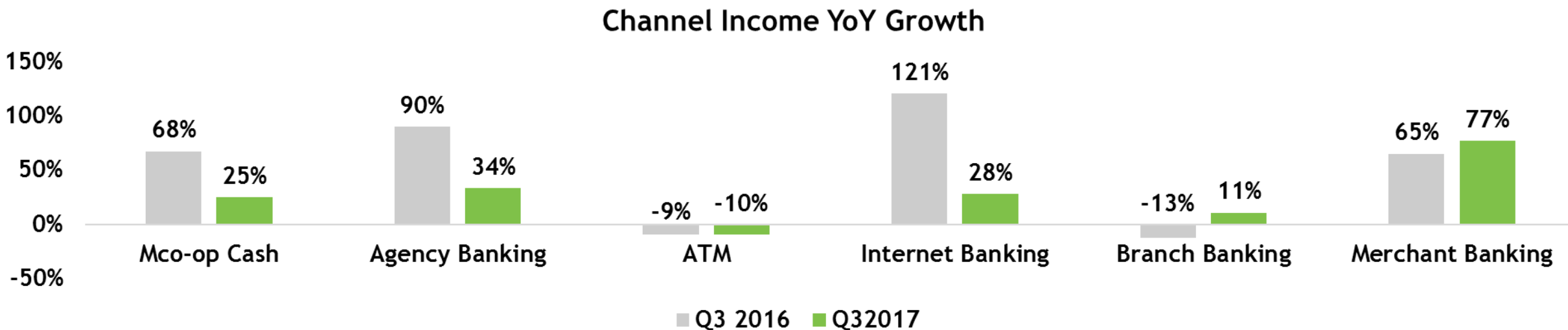
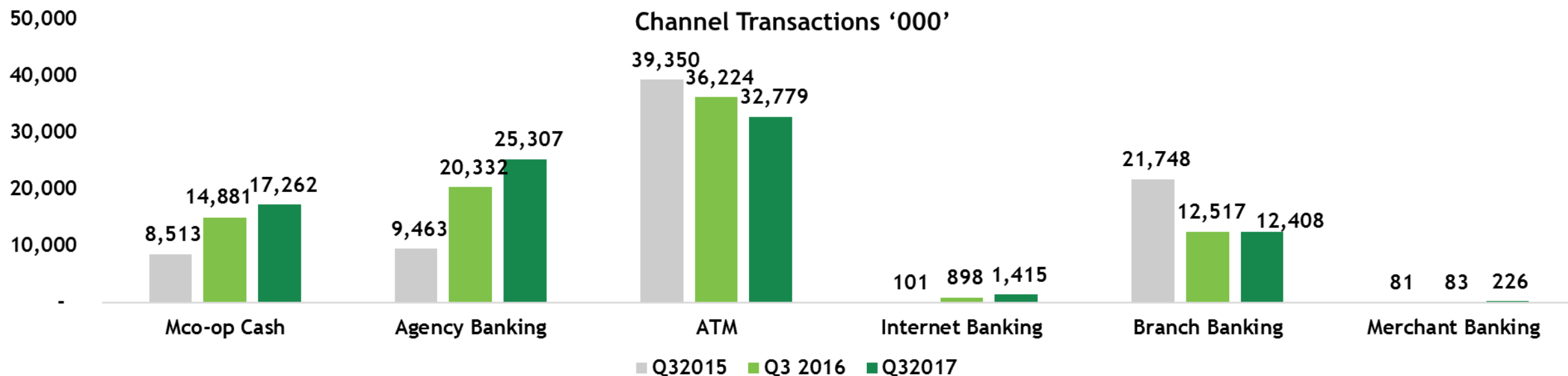
- ✓ Gains achieved through migration and automation has freed up time for Tellers and Service champions
- ✓ The role of Teller and Service Champion has been merged into one : Sales and Service Advisors

Key roles of the Sales and Service Advisors

- 1 Branch service and operations support
- 2 Business growth and development

Branch Transformation and Channel Migration

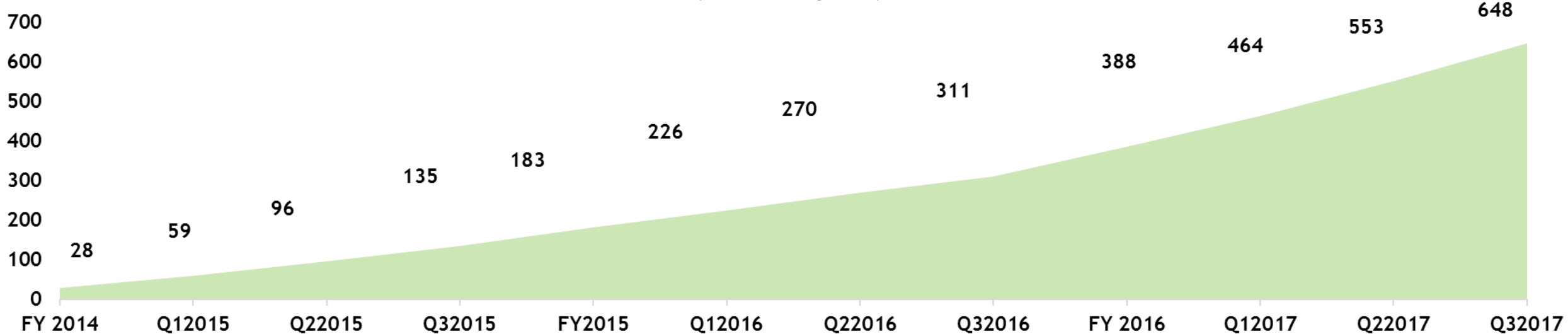
Deepening Financial Inclusion with alternative channels



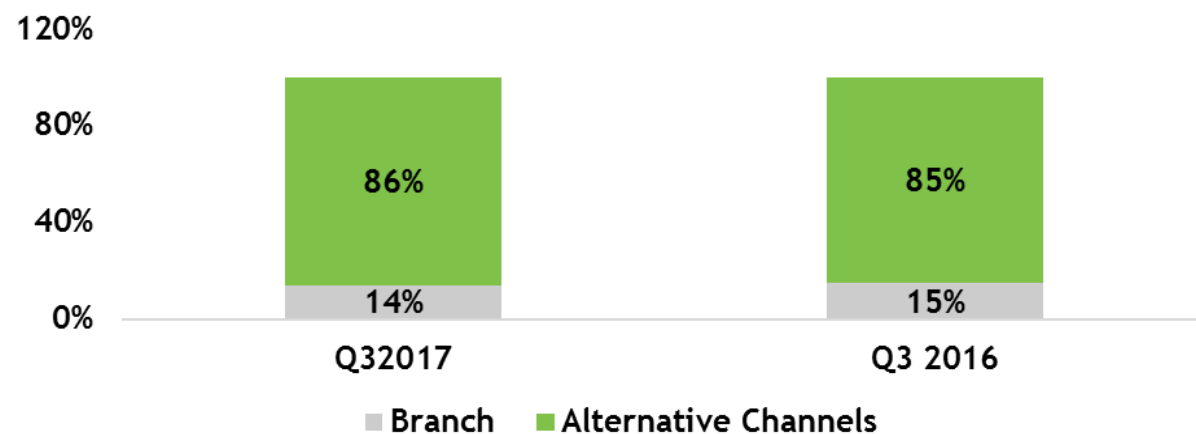
Branch Transformation and Channel Migration

Deepening Financial Inclusion with alternative channels

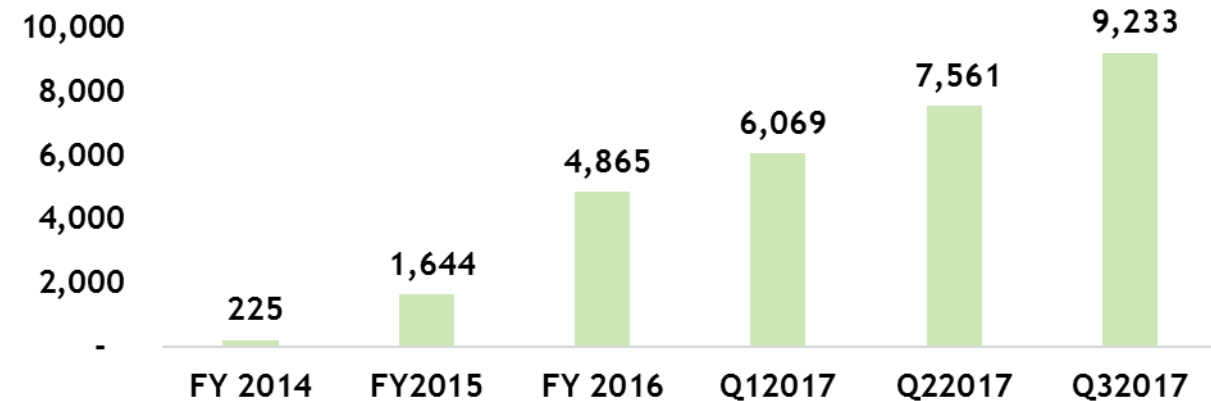
MCo-op Cash loan Customer Numbers (In '000')
(Since Inception)



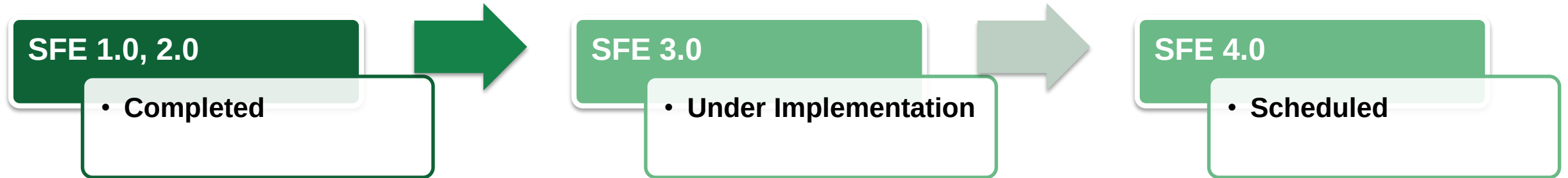
Branch Vs Alternative Channels



MCo-op Cash loan Disbursement- In Millions
(Since Inception)



SFE is built around customer centricity; One Relationship manager, One client, with a comprehensive account plan, multiple products with multiple visits



New Edge SFE 3.0

Milestones:

- ✓ Client prioritization and account planning
- ✓ Deal pipeline tracking
- ✓ Automated account plan reports
- ✓ Utilization of channels
- ✓ Performance rhythms for product houses

Themes:

Agile (In Conversion)

Adjust (To the dynamic business environment)

Advance (In comprehensiveness and collaboration)

To provide fast track technology enablers that will facilitate short term, medium term and strategic alignment to the Bank’s transformation project

Digital Transformation:

To take the Bank into new frontiers of digitalization

Completed

- ✓ Self discovery
- ✓ External diagnostics by IFC
- ✓ Approval by the Board

Under Implementation

- ✓ Key Priority projects (6 Months)

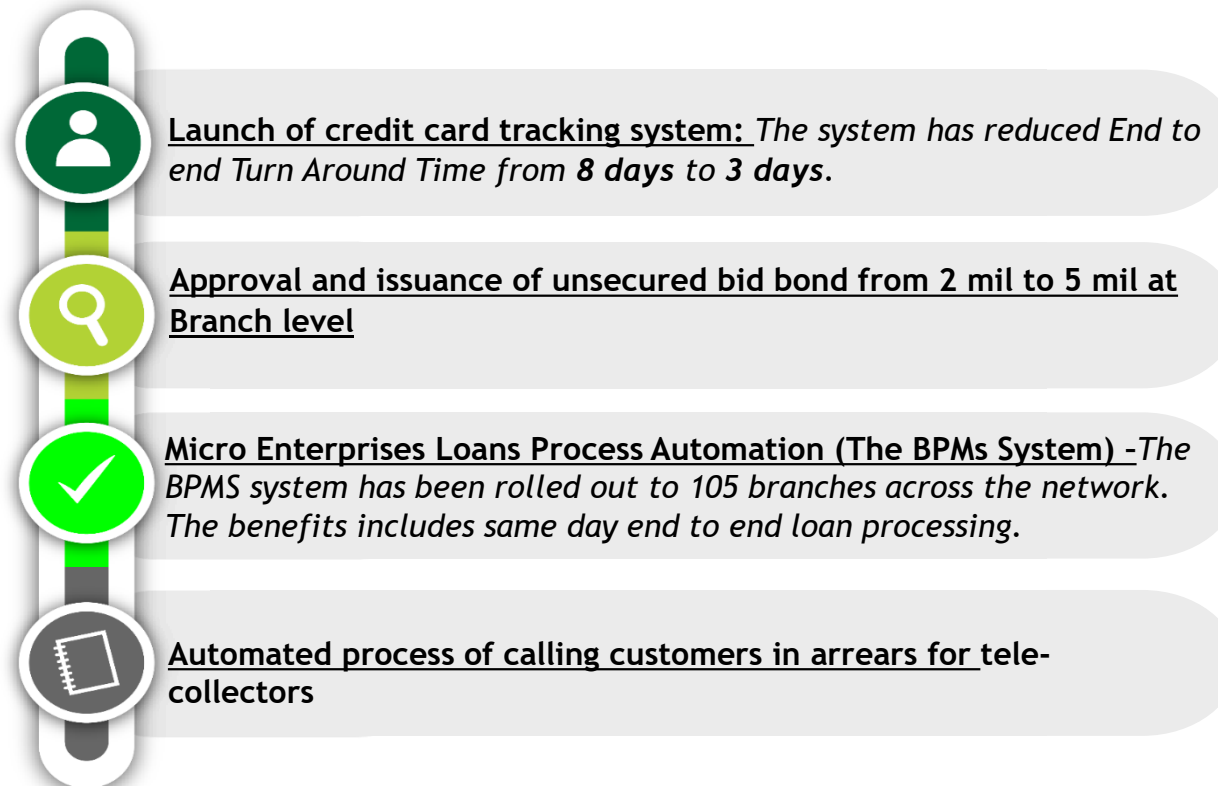
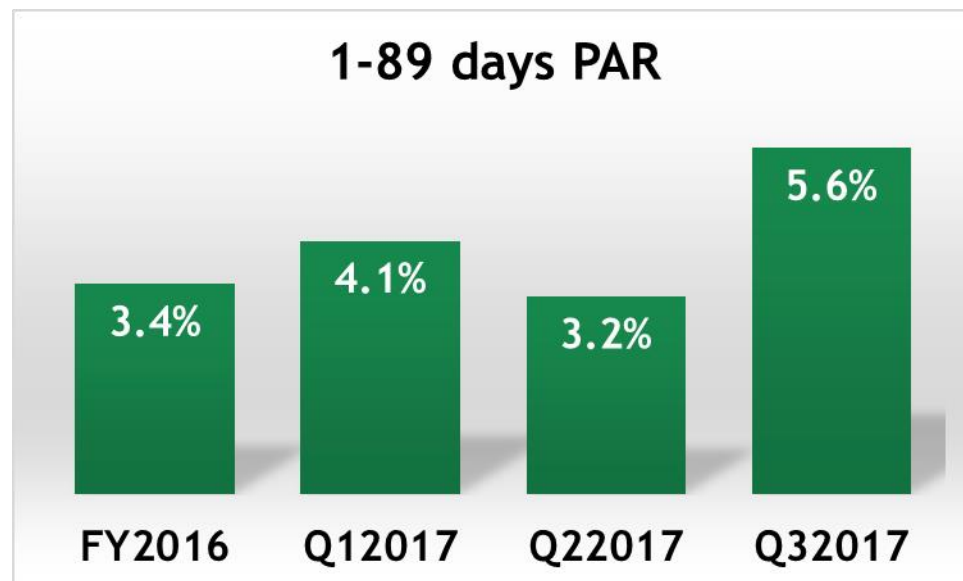
In Quarter 3 five transformational projects were completed on a) channel enhancements and b) Security and control.



- ✓ Prioritization to digitized customer journeys
- ✓ Collaboration with Fintech for revenue collection
- ✓ M Visa issuing and Acquiring- *The project will see moving of visa card capability to a mobile device, with added functions like person to person transfer, remote merchant payment, cash in at Agent and cash out at Agent.*
- ✓ MSME Credit Scoring- *The aim of the project was to provide a credit score for MSME Customers that involved Mco-op cash enhancement and development of engine to support scoring.*
- ✓ *Activation of M Coop Cash dormant customers.*
- ✓ B2B Institutional Onboarding-*Integrated collections solution. The total integrated institutions are 37.*

NPL management and Credit Processes (NPL 2.0)

- ✓ To ensure proactive credit management (Pre-delinquent, 1-89 days and 90+ days Book
- ✓ To ensure proactive review of credit processes in order to support business as well as maintain a quality book



Data and analytic initiatives involve;

- ✓ Development of reports(use-cases)
- ✓ Data governance(Quality and ownership of data)
- ✓ Data architecture (New infrastructure to support analytics)

The journey..



Key Milestones in Q3

1. Segmentation of all business banking customers (Into Micro, Small & Medium)
2. Credit Scoring - Business banking customers have been pre-scored to facilitate automated lending)
3. Enhanced Product holding reporting

✓ To be the dominant bank in Kenya in MSME Segment

Key Initiatives;

- ✓ Credit Scoring
- ✓ SCF- Supply Chain Financing
- ✓ CVP- Customer Value Proposition Model
- ✓ Segmentation
- ✓ Credit Process Review
- ✓ Product Offering Review
- ✓ Non Financial Service (NFS) offering

6 Key Streams;



Implementation Roadmap

- ❑ The Pilot phase of MSME Transformation started on Monday, 23rd October, 2017 in 7 branches.
- ❑ The objective is to test and refine the initiatives for roll-out in other branches.

Pilot Branches include:

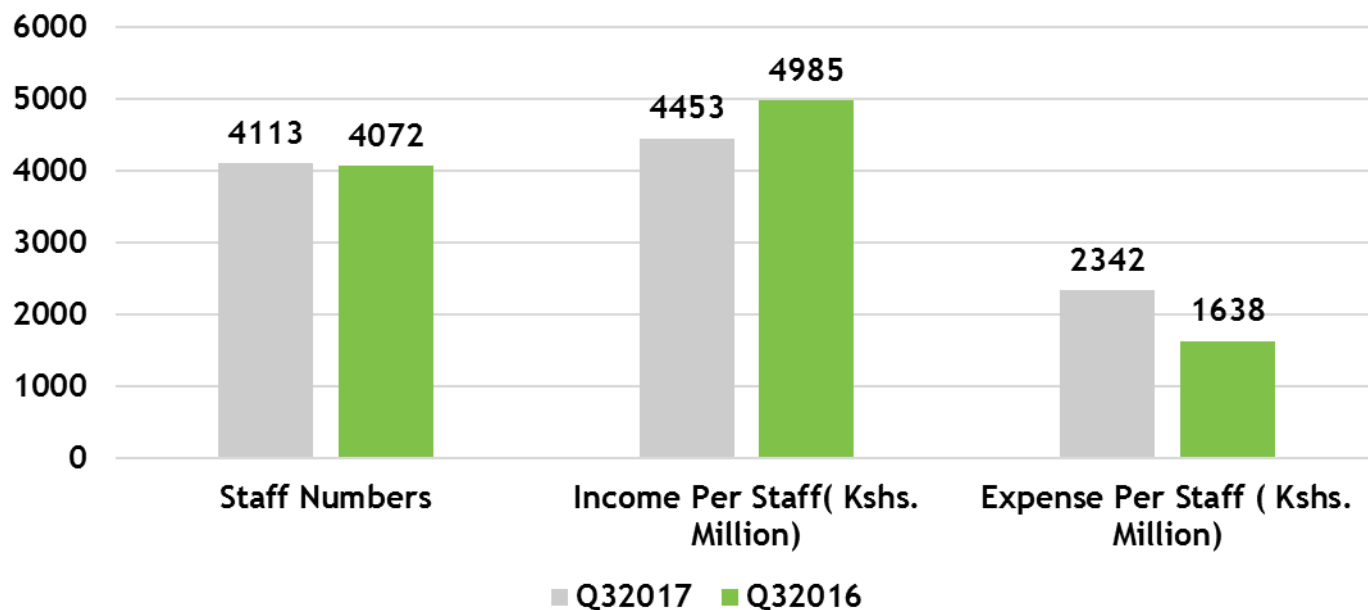
- 1) Co-opHouse
- 2) Parliament Road
- 3) Kariobangi
- 4) Kawangware main
- 5) Kawangware 46
- 6) Githurai Main
- 7) Embakasi Main

Achieving the Best with our People.

Facilitating success of our people. Inspiring leadership. Right culture. Driving high performance practices. Reward our best. Employee engagement. Workforce stabilization

- 1 Organizational Culture re-alignment program
- 2 High Performing Teams initiatives
- 3 Optimal Resourcing & Organization design initiatives
- 4 Total Rewards & Employer Value Proposition initiatives
- 5 Build High Impact learning & Strategic capabilities
- 6 Talent Agenda & Proactive retention initiatives
- 7 Employee Engagement & Wellbeing Initiatives
- 8 Transformation Agenda partnering initiatives

Staff Productivity



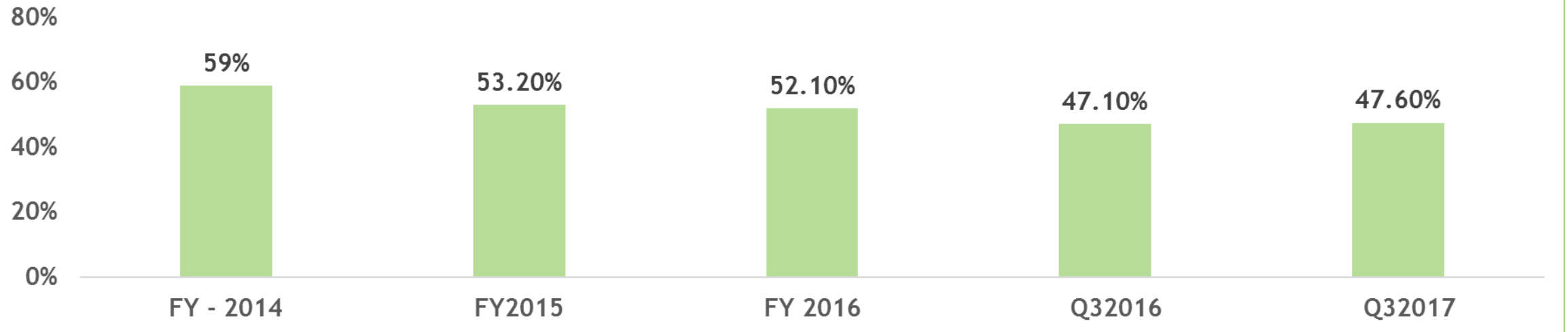
Staff Productivity Ratio (Staff Cost/ Total Income)

3Q2017- 18%

3Q2016- 16%

-14% Change

Cost to Income Ratio



Key strategies;

- ✓ Implementation of the SAP Enterprise Resource Planning (ERP) solution
- ✓ Automation of the various key processes for costs optimization.
- ✓ Enhanced Expenditure Management Committee (EMC)
- ✓ Market price comparison every 3 to 6 months
- ✓ Prequalification of suppliers every 6 months
- ✓ Renegotiated contracts with vendors especially systems

LONG TERM FUNDING (Kshs. Million)

DEVELOPMENT PARTNER	3Q2017	3Q2016	PURPOSE
IFAD	30.00	30.00	To finance the Eastern Province Horticultural and Traditional Food crops project
EUROPEAN INVESTMENT BANK	1,628.92	2,743.25	To fund SMEs
AFD	3,817.80	3,393.32	To fund energy efficient and renewable energy projects
INTERNATIONAL FINANCE CORPORATION(IFC)	13,643.05	8,938.01	To fund SME's and agribusiness, construction and mortgage segments
D.E.G -(K.F.W)	3,790.52	4,789.21	To finance SME and Corporate customers
TOTAL	22,910.28	19,863.79	



The Award winning Brand!

**The Banker
Top 1000 World Banks**

Ranked number 1 in Kenya on Profits on Capital
Ranked Number 949 Top 1000 Banks in the World



Best Bank in Kenya

The logo for Moody's, featuring the word 'MOODY'S' in white serif font on a blue rectangular background.

Moody's Investors Service (Moody's) assigned first-time B1/Not Prime global local-currency deposit ratings fully aligned with the B1 (Stable) rating of the Kenyan government.

On the Kenyan national scale, Moody's has assigned deposit ratings of Aa2.ke/KE-1 to Co-op Bank

Championing Social Economic Empowerment



**CONSULTANCY &
INSURANCE AGENCY LTD**

- ✓ Capacity building for Cooperative Societies.
- ✓ Over 2,200 consultancy and advisory mandates carried out from inception
- ✓ 560 FOSA's to serve Sacco customers.
- ✓ FOSAs have further entrenched our financial deepening model
- ✓ 18 dedicated consultants



- ✓ Our social investment program vehicle
- ✓ Providing Education Scholarships for bright but needy students
- ✓ The foundation is fully funded by the bank
- ✓ Since inception of program in 2007 to date 5,119 students have been sponsored
- ✓ The bank awards scholarships per county and the rest are determined by the bank's regional Sacco delegates.



- ✓ Financing the SME and MCU sector
- ✓ Sustainable financing towards Vision 2030 and MDGs
- ✓ Staff CSR Involvement
- ✓ Corporate Social Responsibility: First Lady's Beyond Zero Campaign, Kenyatta National Hospital- Children Cancer Ward, Kenya Defense Forces games sponsorship, Kenya Diabetes Management and Information Centre, Kenya Psychological Association, National Police Service Athletics Bible Translation and Literacy Marathon, Wildlife Direct - Hands off our elephants





SOUTH SUDAN

- ✓ Currently operating 4 branches in Juba and 5 Non-oil collection centers. Owns 31% of CIC Africa Ltd- South Sudan
- ✓ The unique joint venture offers great opportunity for long-term sustainability of the business
- ✓ The subsidiary made profit of Kshs. 39.15 Million in Q32017. We have put in place proactive strategies to continue offering financial inclusion while considering the most optimal risk uptake

New Business: Leasing



- ✓ Approval by regulator, Central Bank of Kenya, to enter into a leasing business joint venture with Super Group of South Africa.
- ✓ The joint venture will take advantage of key strengths by the two partners and focus on the emerging opportunities in leasing business with the bank providing a 6.5 million customer base and Super Group providing proven products, technology and the expertise on running a scalable leasing business.
- ✓ The joint venture comes at a time when there are significant market opportunities in the growing Kenyan economy and the region as hereunder;
 - Major infrastructure projects.
 - Government setting the pace with leasing (especially vehicles).
 - Exploration and mining activities including oil and gas.
 - Other sector demands including manufacturing, construction, transport, ICT among others.
- ✓ The joint venture will also leverage on the support of the Co-operative movement with over 14 Million customers and over 18,000 co-operative societies.
- ✓ The joint venture is being operationalized immediately.



- ✓ Listed on the Johannesburg Securities exchange
- ✓ Market capitalization of Ksh. 100.4B
- ✓ Operations in South Africa, Australia, New Zealand, Germany and United Kingdom.
- ✓ Provides world class fleet solutions to their global client base focusing on the containment of costs and operational risks associated with fleet ownership.

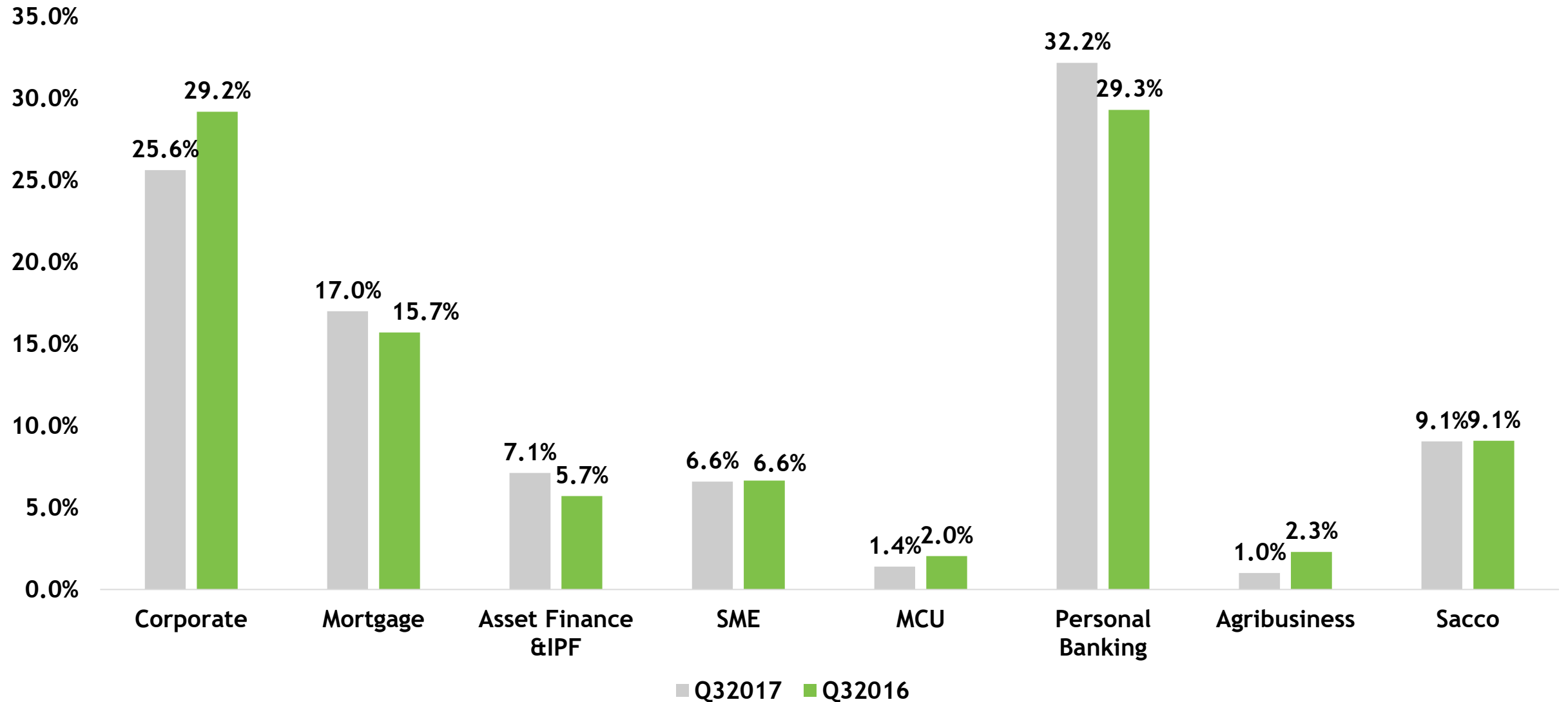
At 30th Sep 2017, Super Group had over 146,000 vehicles and trucks under management.

Key Financial Highlights



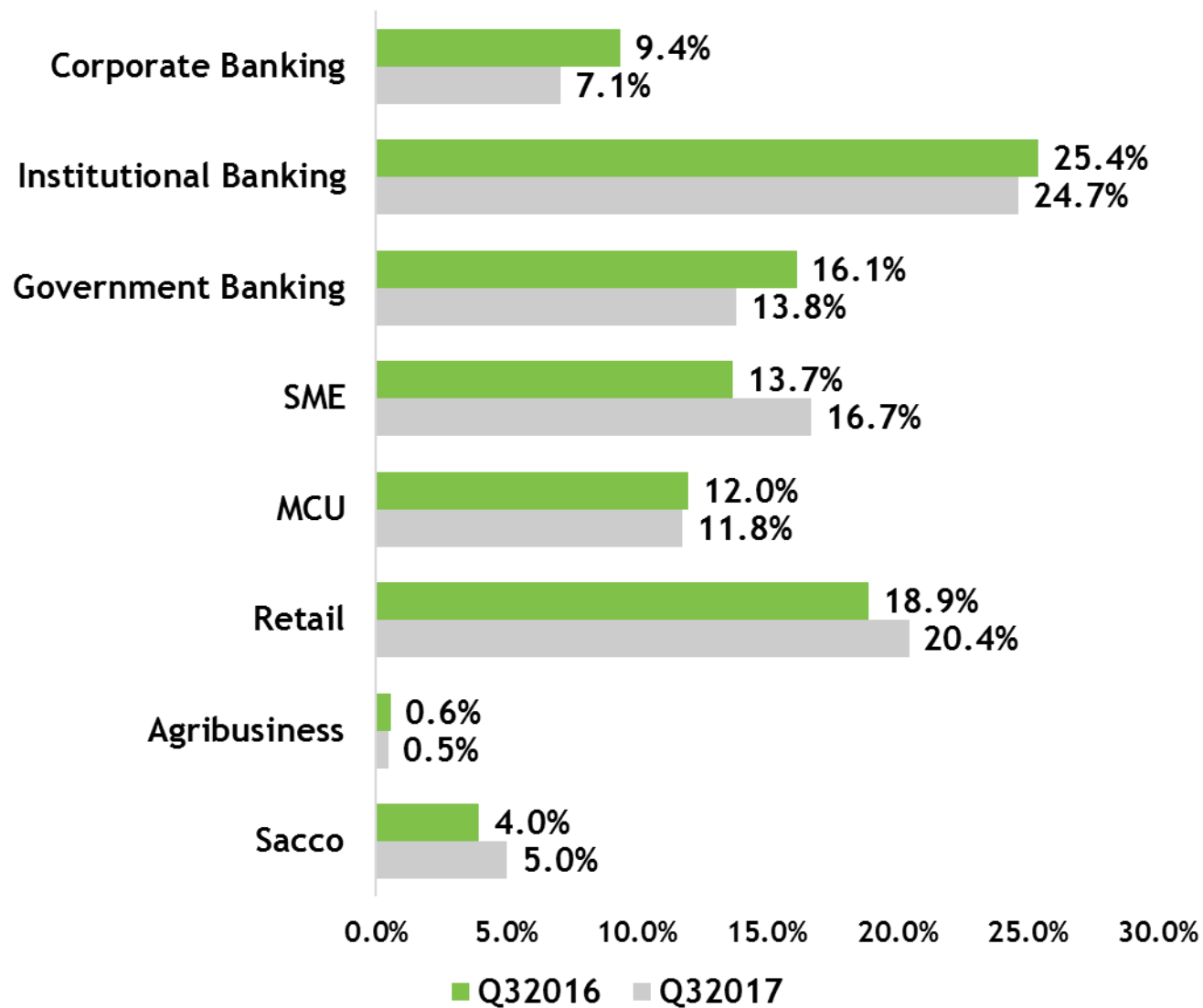
Kshs. Billions	Q32017	Q32016	% Change (YoY)		FY2016
Total Assets	388.3	354.0	9.7%		351.9
Loan book (Net)	259.4	227.1	14.2%		236.9
Government Securities	68.1	66.3	2.6%		57.8
Total Deposits	290.2	260.6	11.4%		263.6
Borrowed Funds	28.0	26.5	5.7%		19.8
Shareholders Funds	67.3	59.2	13.8%		61.3
No. of account holders (Millions)	6.8	6.1	11.5%		6.22

A Soaring Bank - Loan Distribution

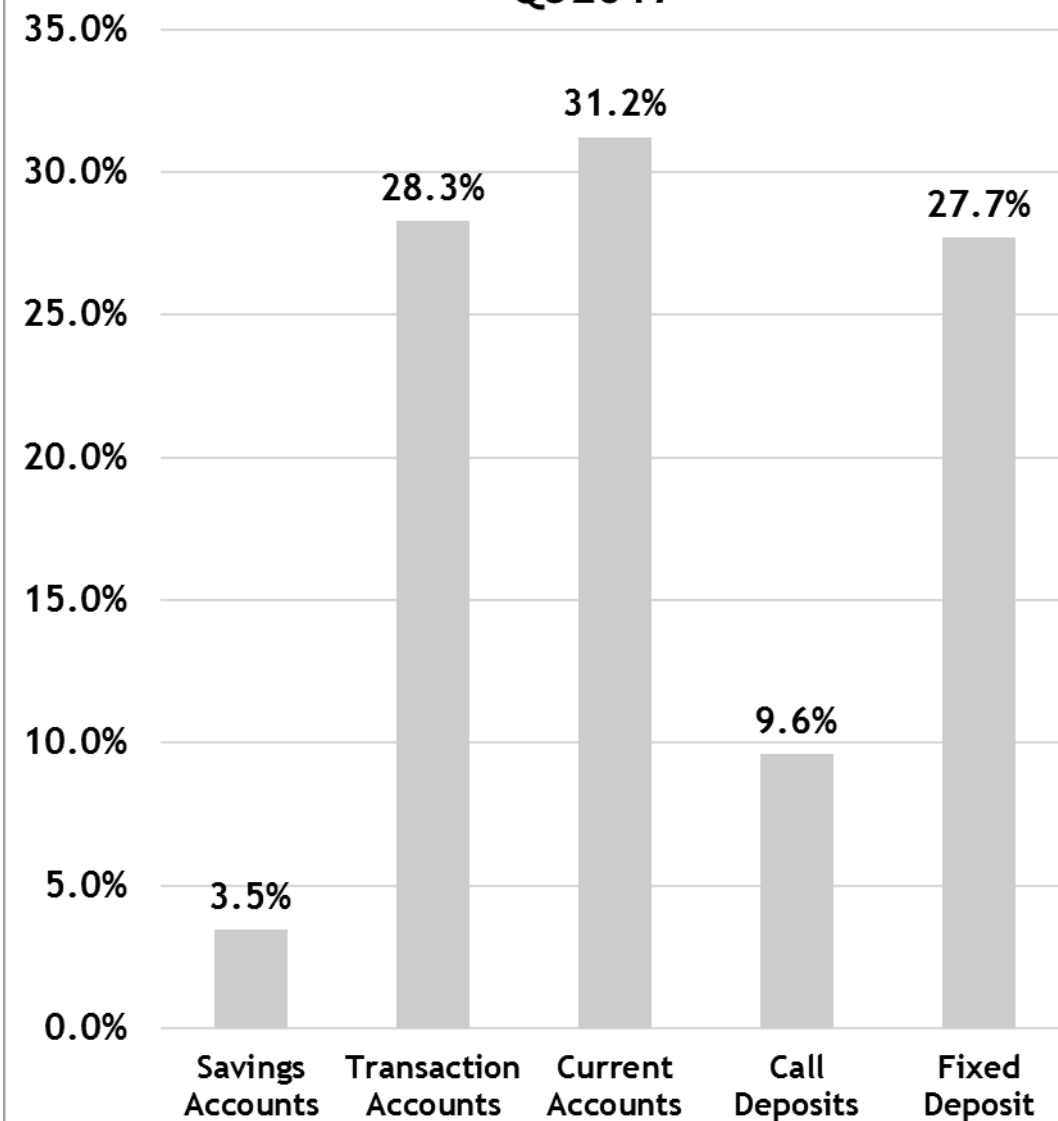


A Well-diversified Liability Portfolio

Deposit Distribution

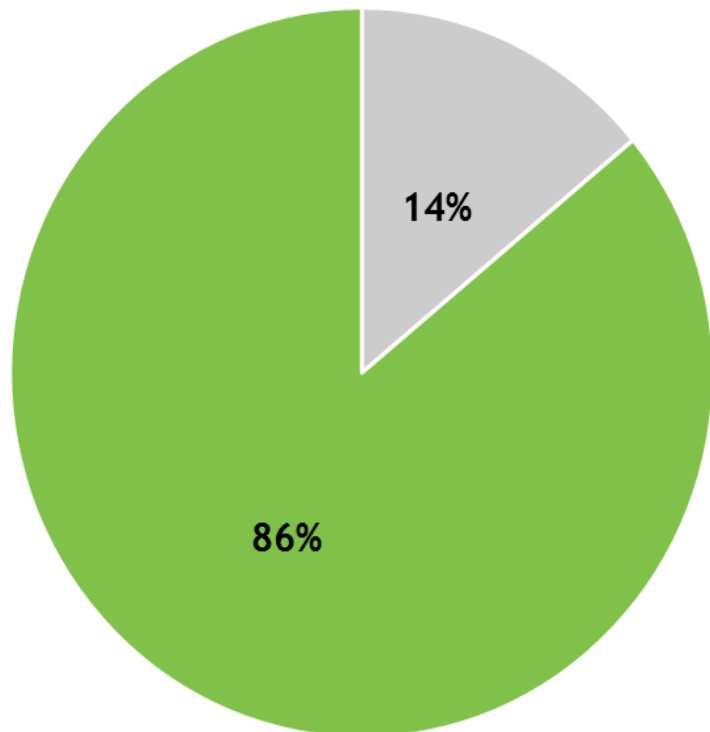


Q32017



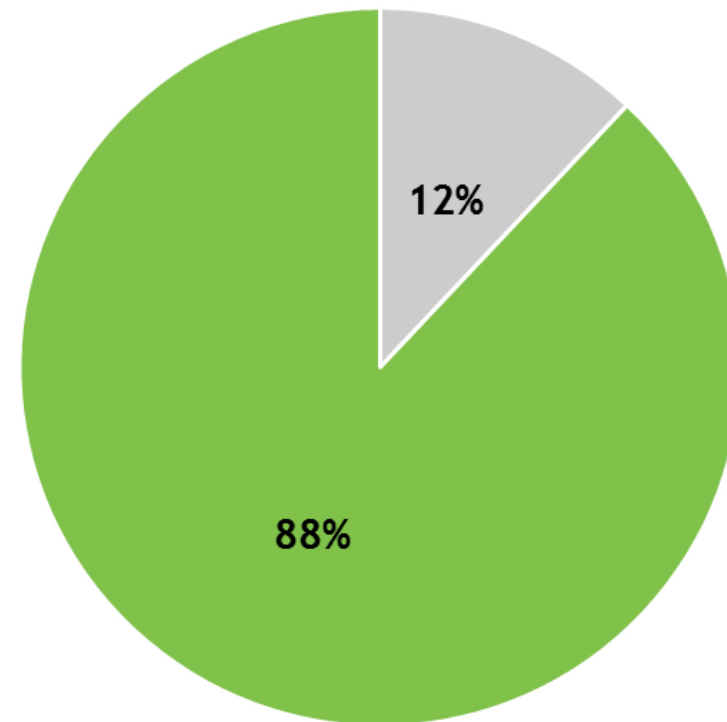
Lending & Funding balances by Currency

**Loan Book (Local Vs Foreign Currency)
Q32017**



■ Foreign Currency ■ Local Currency

**Funding (Local Vs Foreign Currency)
Q32017**



■ Foreign Currency ■ Local Currency

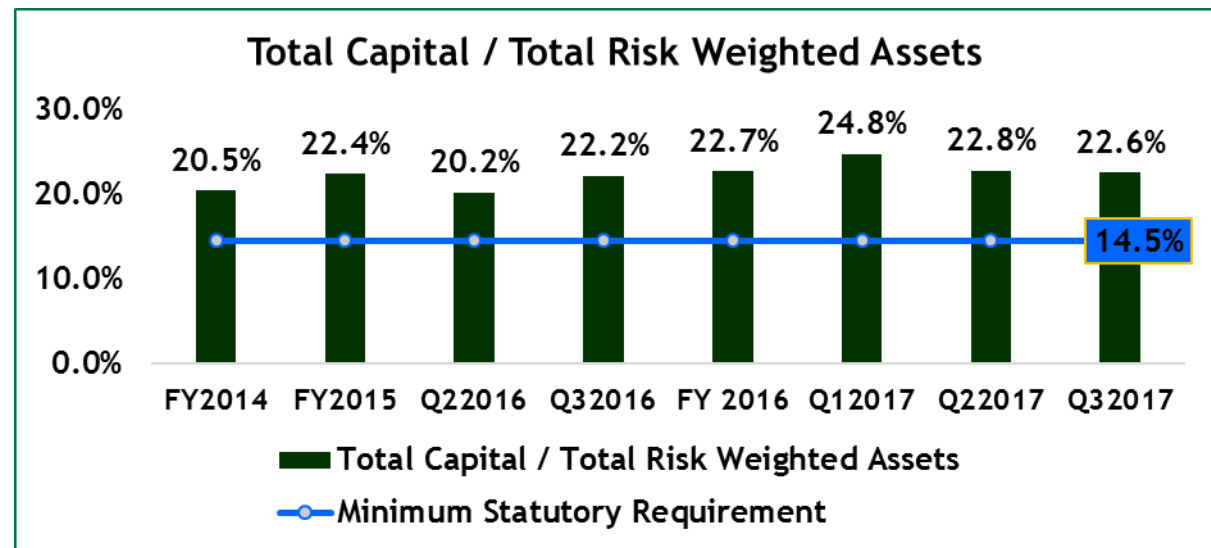
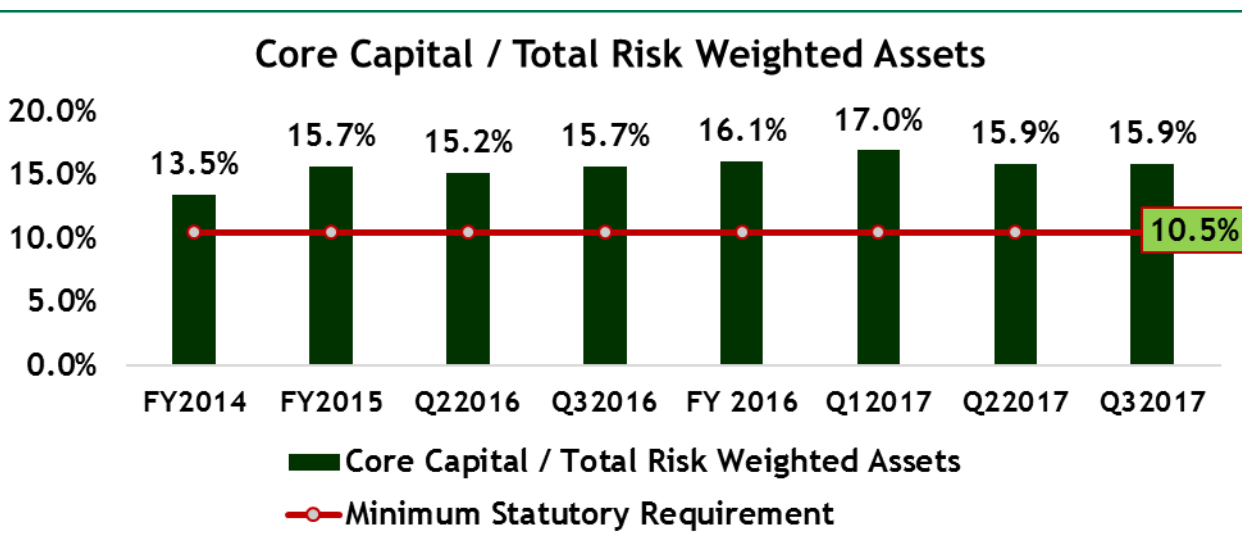
✓ Optimally balanced Kenya Shilling Loan book and Funding

Portfolio Trends (Ksh. Millions)

	Q32017	%	Q32016	%	FY2016	%
Normal	230,546	86.1%	205,064	88.1%	196,708	80.5%
Watch	22,093	8.2%	17,747	7.6%	36,475	14.9%
Substandard	11,050	4.1%	5,894	2.5%	5,857	2.4%
Doubtful	3,557	1.3%	3,406	1.5%	4,741	1.9%
Loss	556	0.2%	689	0.3%	675	0.3%
TOTAL	267,803	100.0%	232,799	100.0%	244,456	100.0%

Capital adequacy

	Q32017	Q32016	FY2016
Core Capital / Total Deposits (8%)	19.8%	18.7%	19.7%
Core Capital / Total Risk weighted Assets (10.5%)	15.9%	15.7%	16.1%
Total Capital / Total Risk Weighted Asset (14.5%)	22.6%	22.2%	22.7%
Coverage (Loan loss prov+int in sus /Gross NPL) -IFRS	34.7%	42.9%	38.1%
Coverage(Loss loan+int in sus+gen prov)/Gross NPL- CBK	54.2%	71.7%	65.4%
Liquidity (20%)	35.0%	37.8%	33.2%
NPL / Total Loans	6.2%	4.0%	4.3%
Loans to Deposits	89.4%	87.1%	89.9%
Loans to Deposits & Borrowed Fund	81.5%	79.1%	83.6%



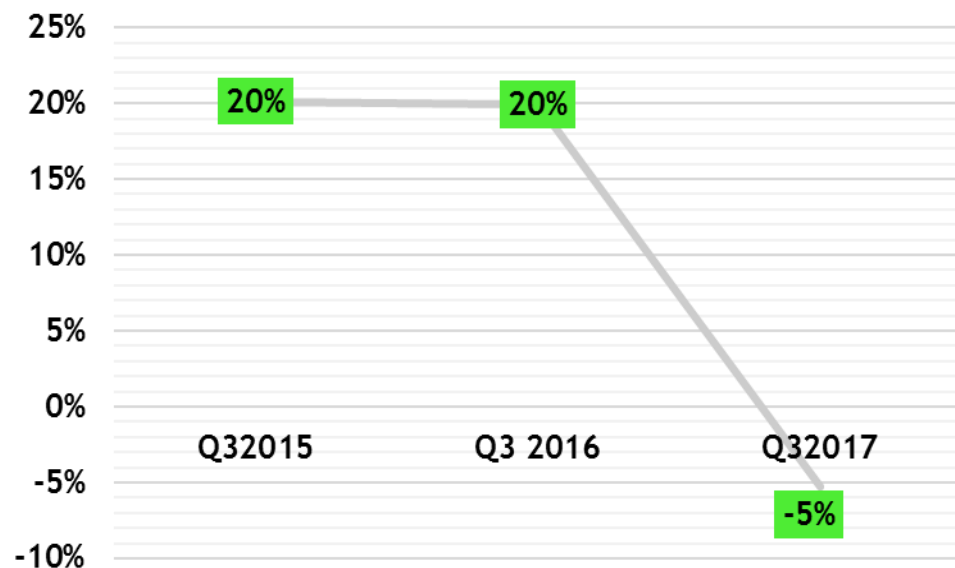
Profitability

Kshs. Billions (except for EPS)	Q32017	Q32016	% Change (Y/Y)		FY2016
Interest Income	29.9	32.3	-7.7%	↓	42.3
Interest Expense	9.1	9.9	-8.5%	↓	12.8
Net Interest Income	20.8	22.4	-7.3%	↓	29.5
Fees & Commissions	7.8	7.4	5.9%	↑	9.8
Forex Income	1.5	1.4	9.9%	↑	1.8
Other Income	0.8	1.1	-29.6%	↓	1.2
Total Operating Income	30.9	32.3	-4.3%	↓	42.3
Loan Loss Provision	2.6	1.9	31.7%	↑	2.6
Staff Costs	7.2	6.7	8.3%	↑	9.4
Other Operating Expenses	7.5	8.5	-12.3%	↓	12.6
Profit Before Tax and Exceptional Items	13.6	15.1	-9.9%	↓	17.6
Exceptional Items	-	-	-		0.004
Share of profit of associate	0.1	0.1	9.1%	↑	0.1
Profit Before Tax	13.7	15.2	-9.8%	↓	17.7
Tax	4.2	4.7	-10.3%	↓	5.0
Profit After Tax	9.5	10.5	-9.5%	↓	12.7
Basic Annualized EPS*	2.2	2.9	-24.6%	↓	2.6

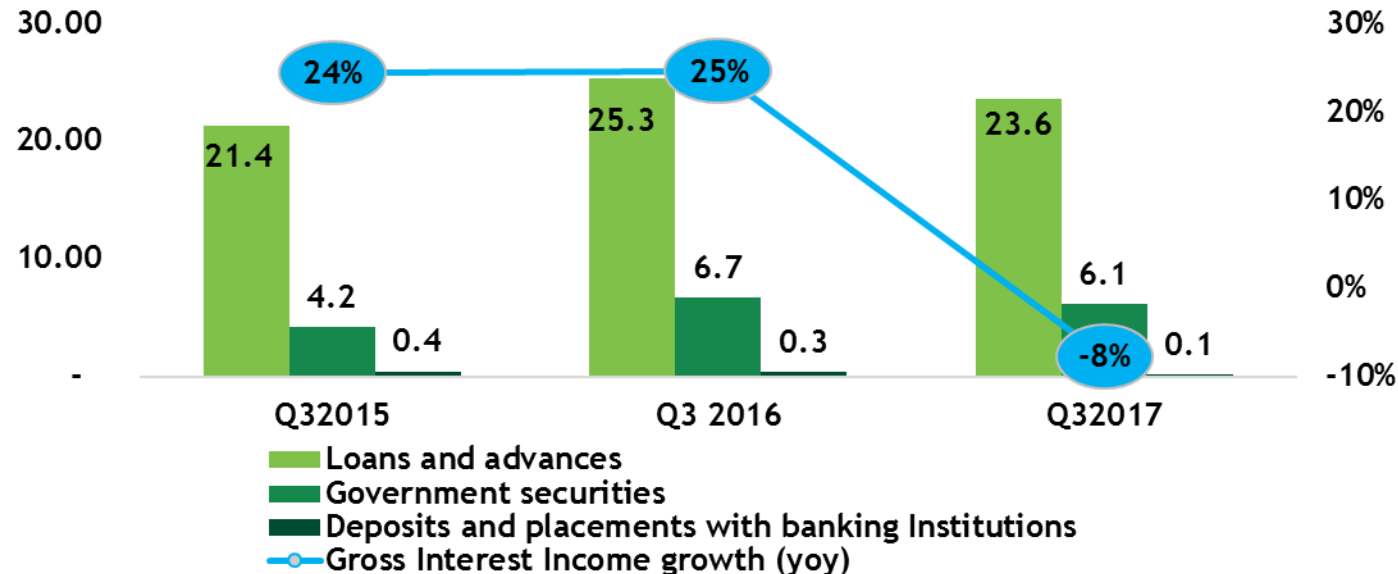
* The drop in eps is as a result of dilution due to the Bonus Share Issue of one ordinary share for every five ordinary shares held

Slight decline in income post interest rates cap

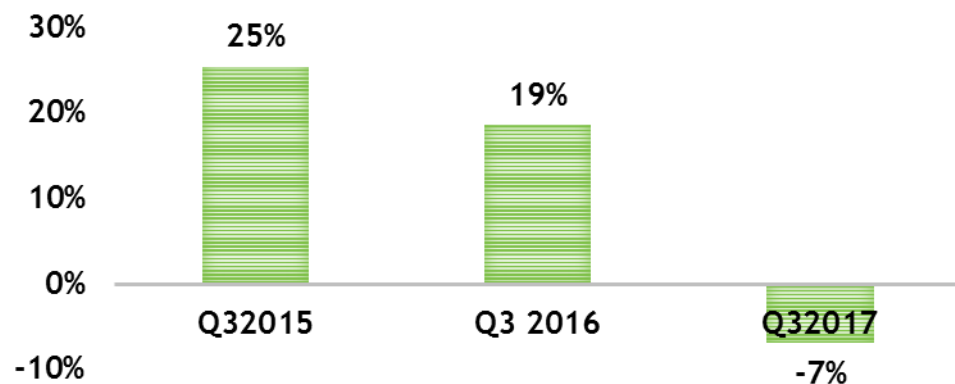
Total (Gross) Income growth (YoY)



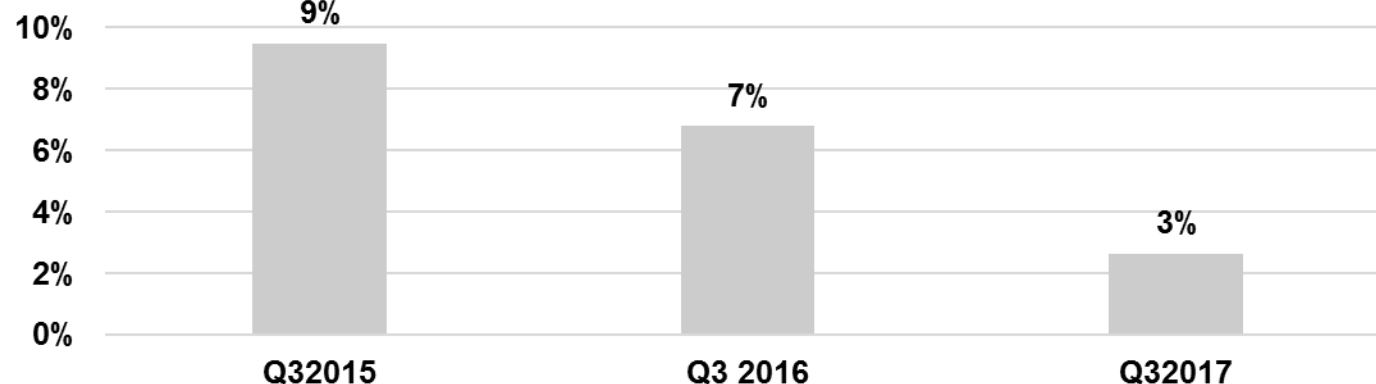
Gross Interest Income (Kshs. Billion)



Loan Interest Growth (YoY)

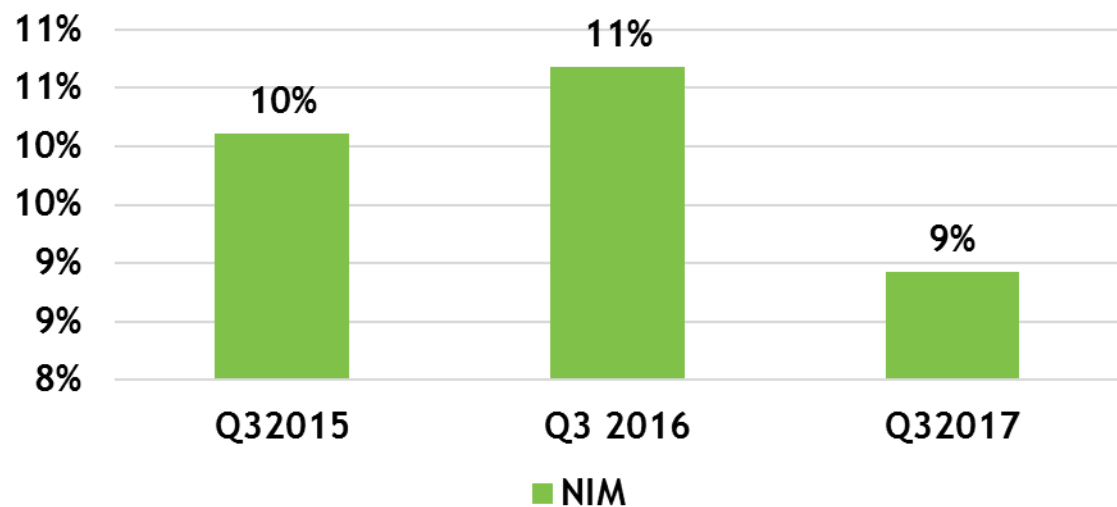


Non-Funded Income growth (YoY)

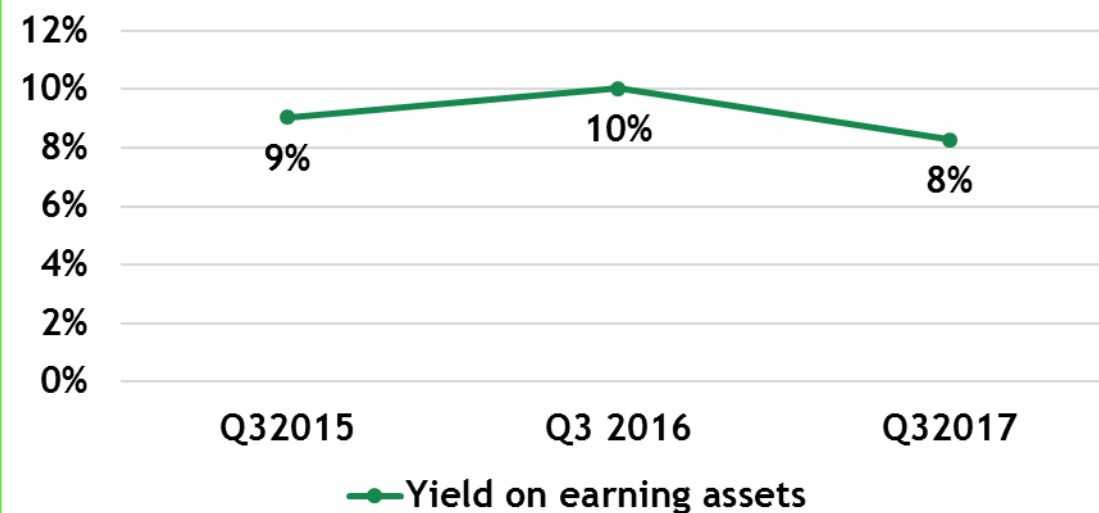


Slight decline in income post interest rates cap cont'd

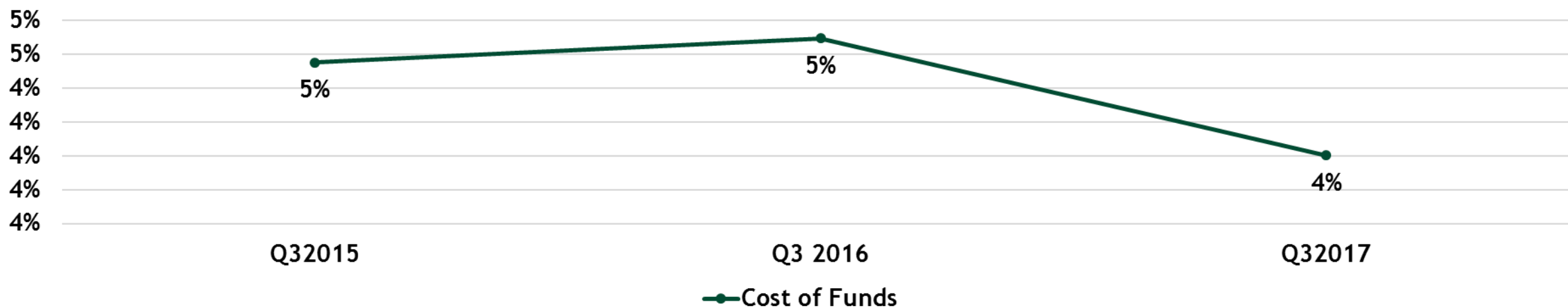
Net Interest Margin



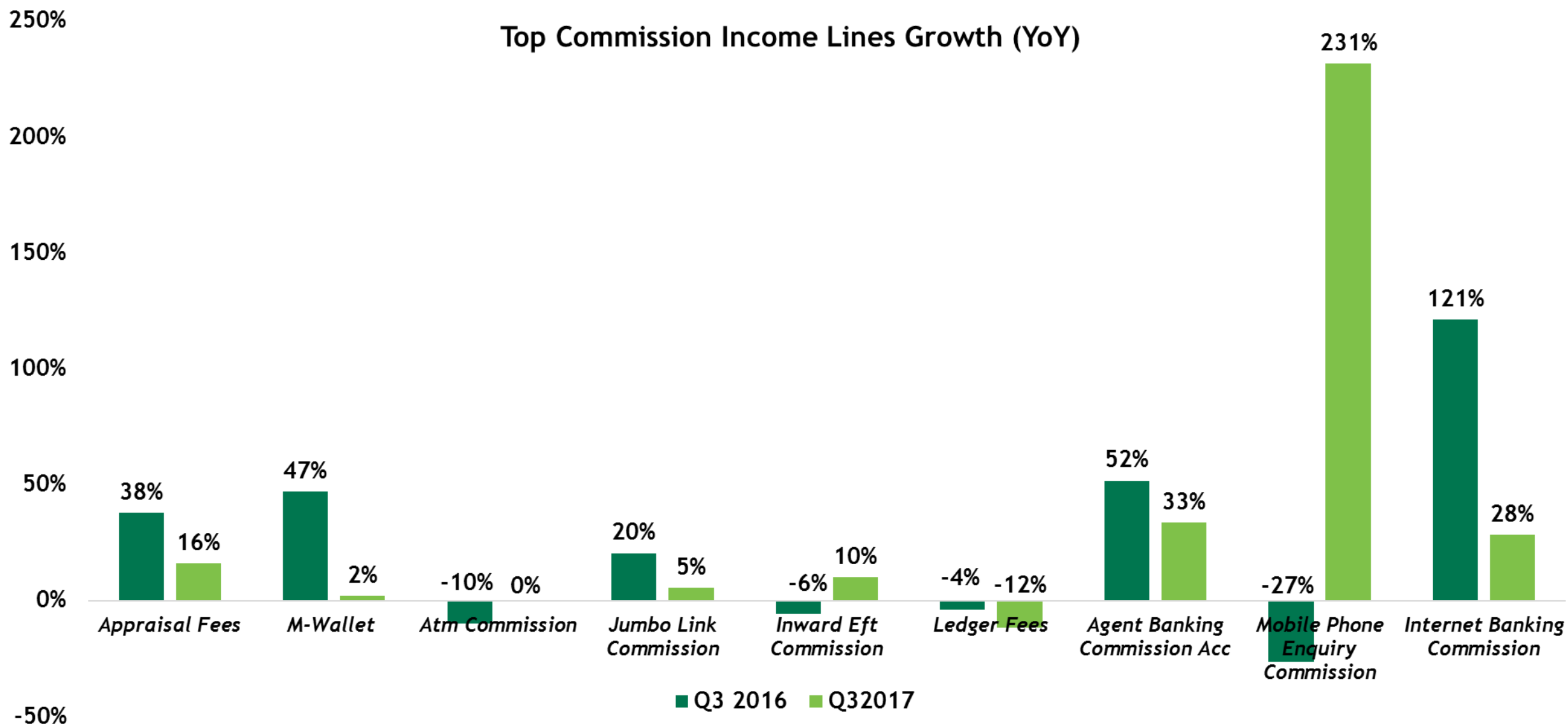
Yield on earning assets



Cost of Funds

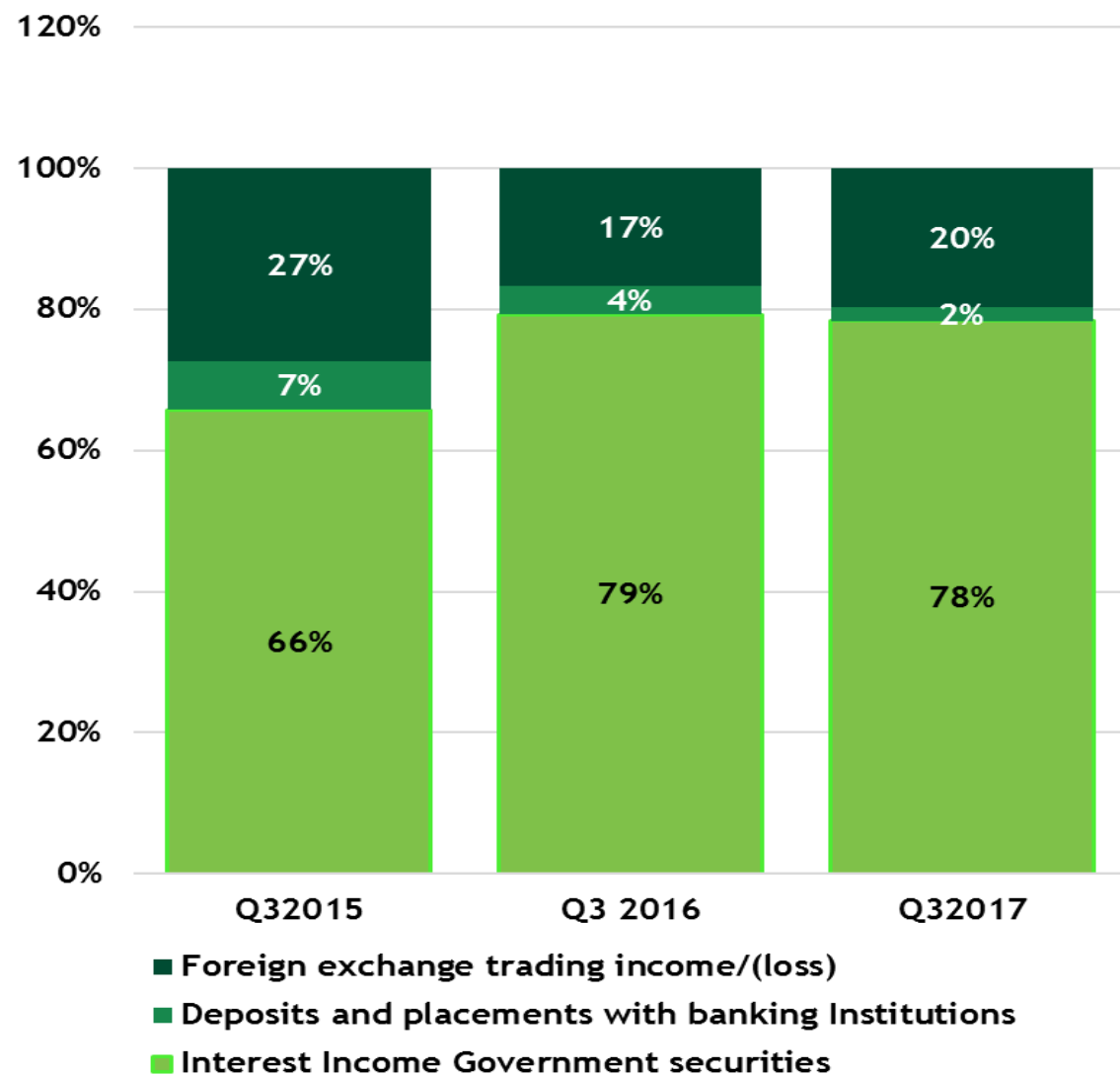


Top Non- Funded Income

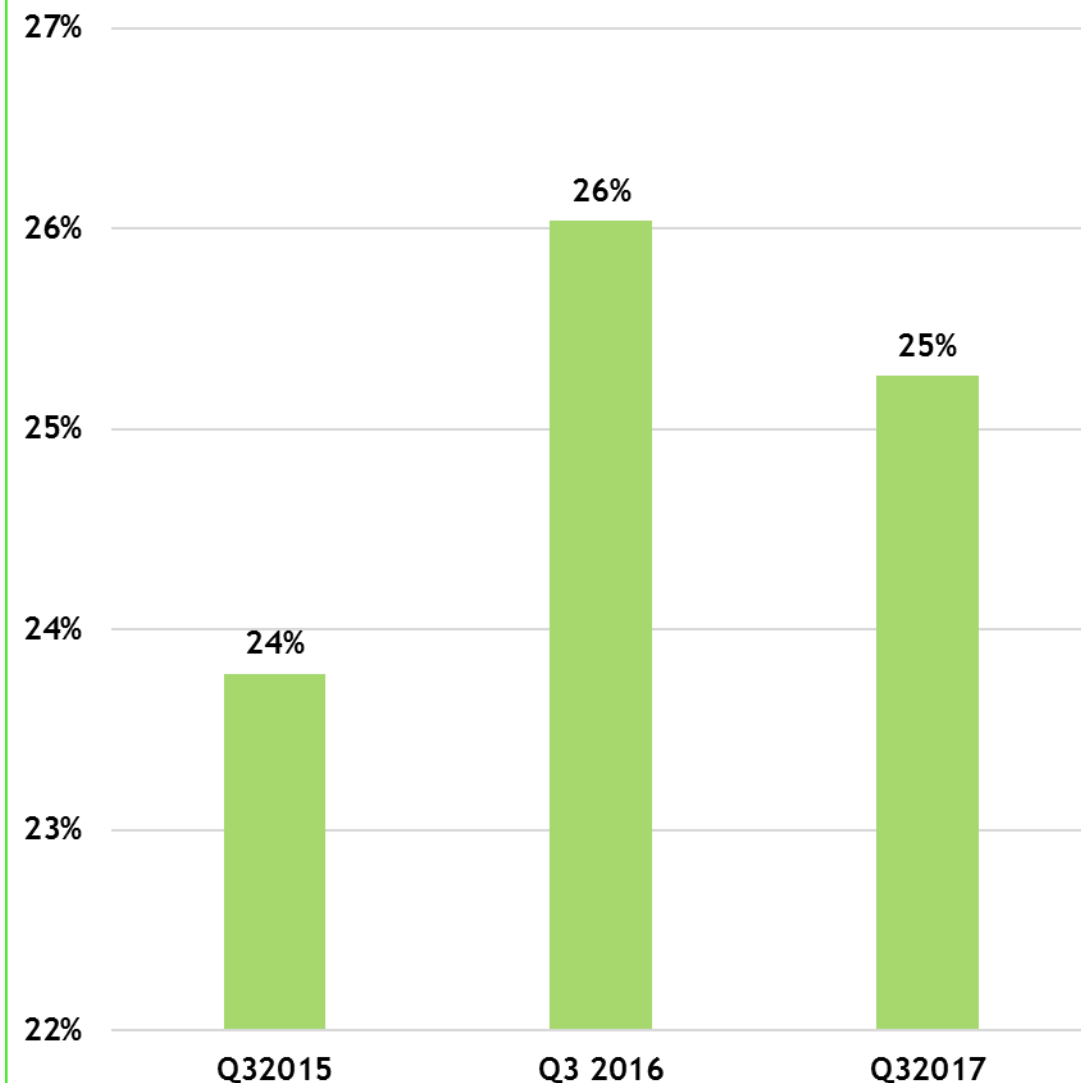


Performance of Treasury Book

Treasury Income Mix

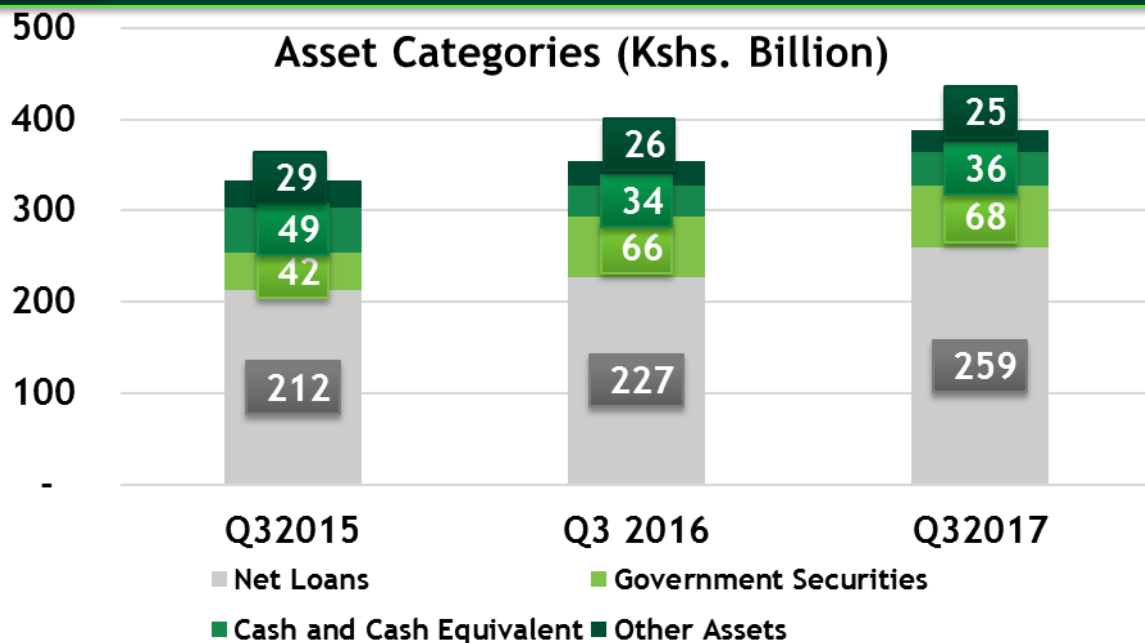


Treasury income to Total Operating Income

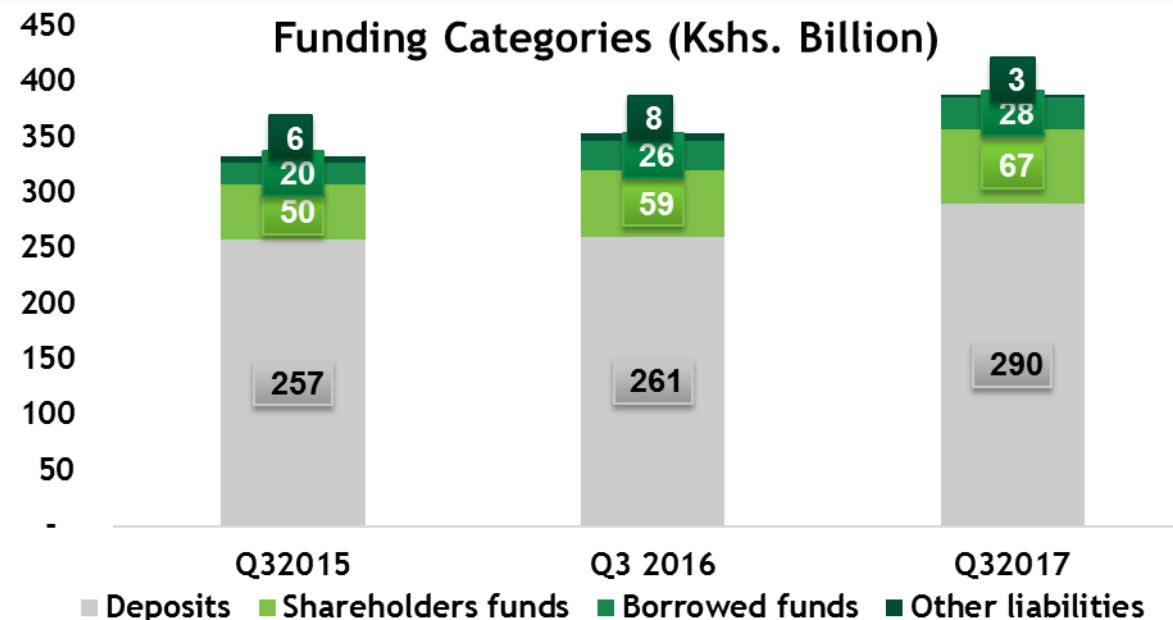


Balance Funding

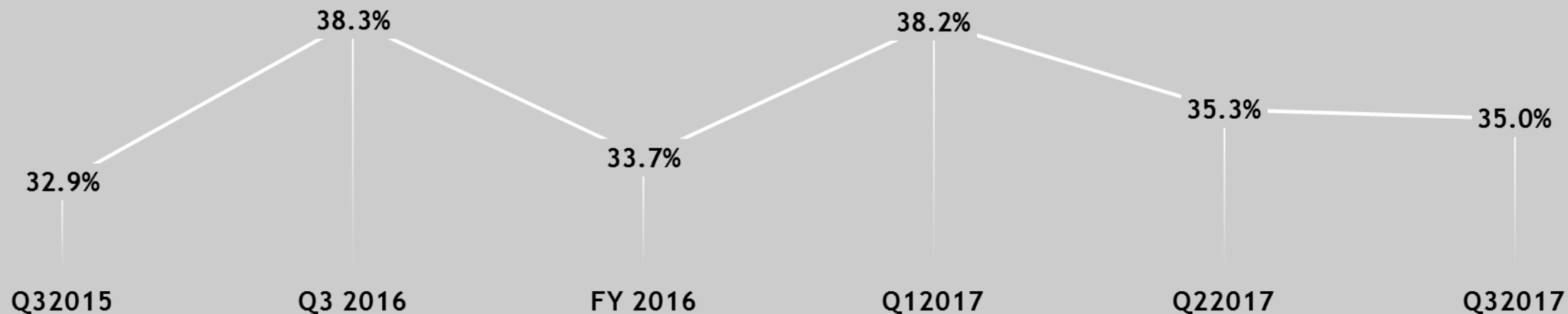
Asset Categories (Kshs. Billion)



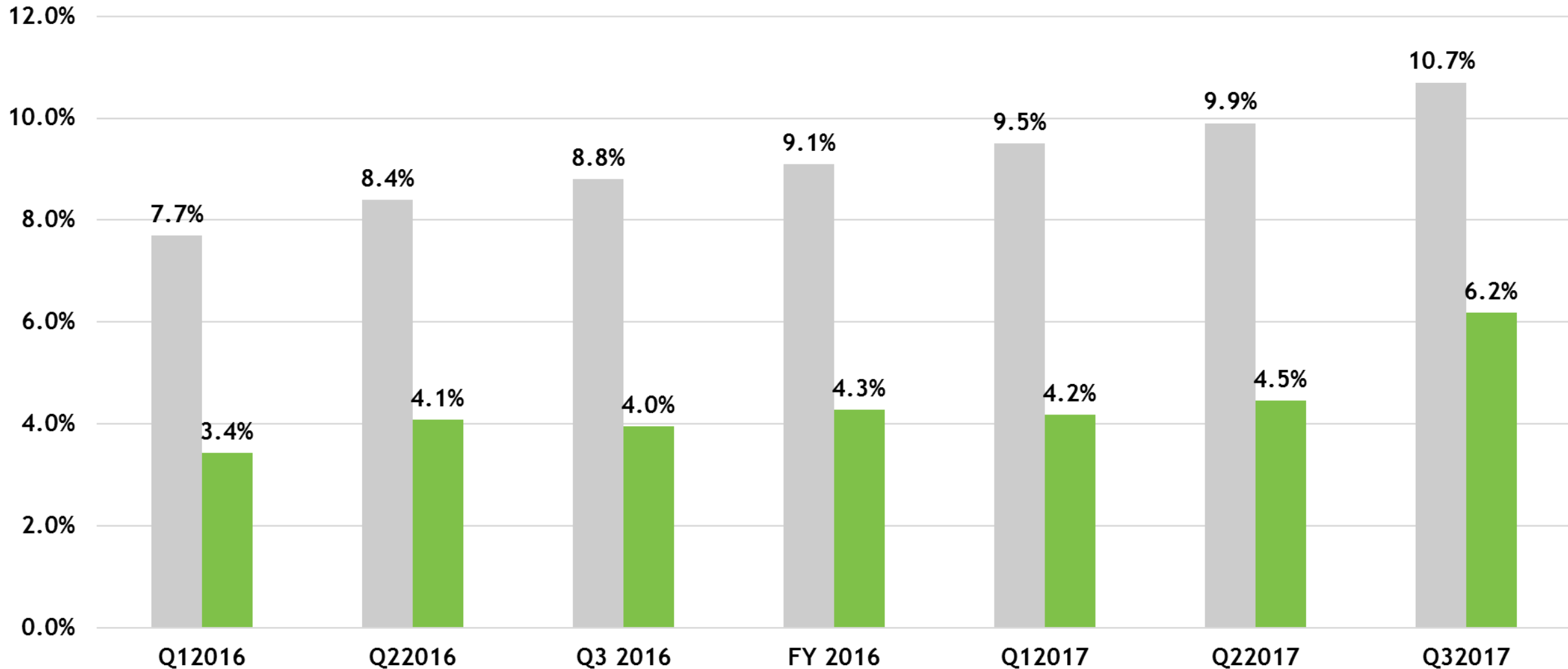
Funding Categories (Kshs. Billion)



Liquidity trend

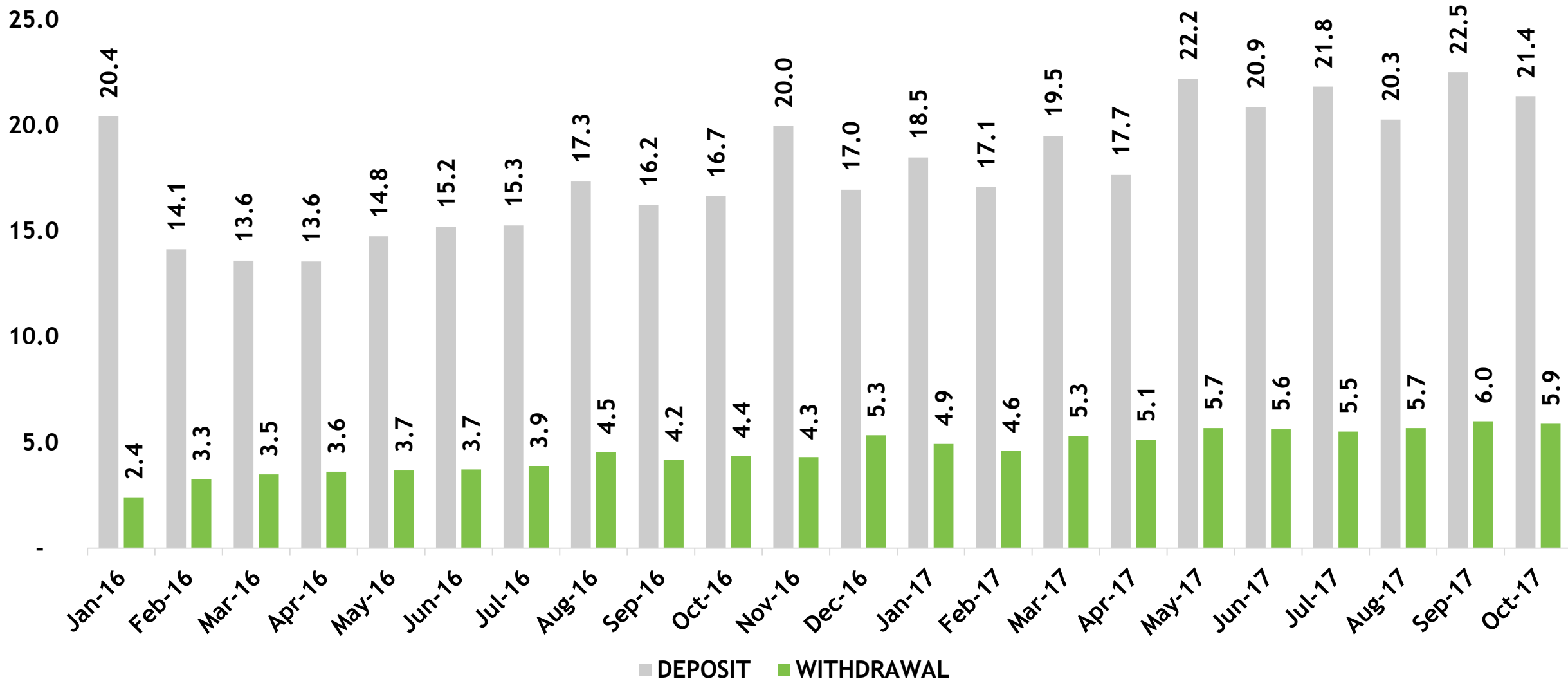


NPL- Industry Vs Coop Bank



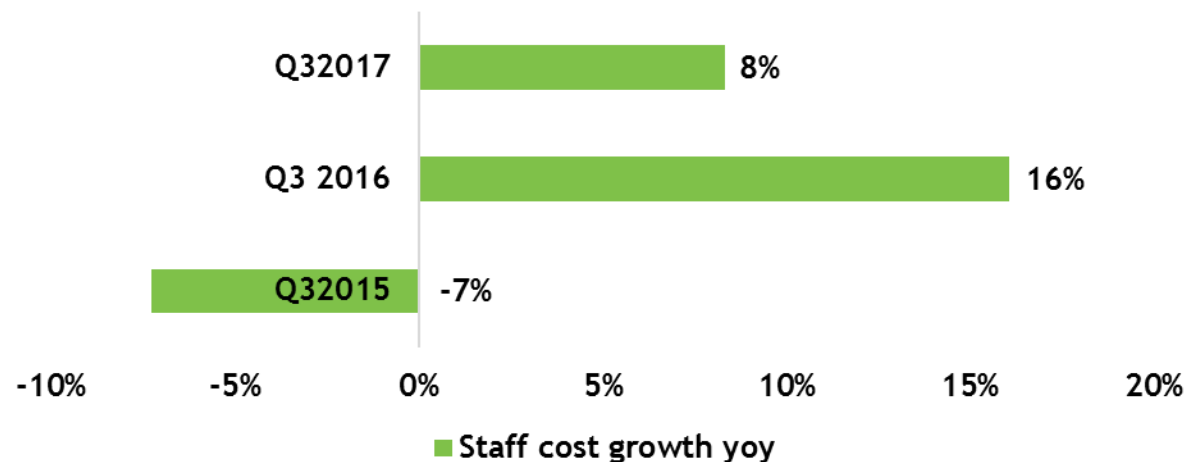
Agency Banking

Agent Deposit/ Withdrawal Kshs. Billion

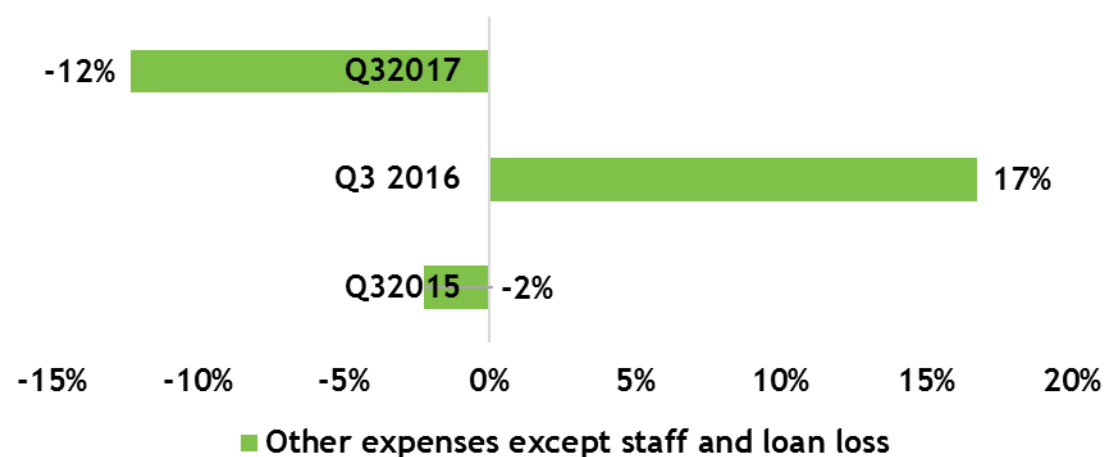


Marginal Increase in Operating Expenditure

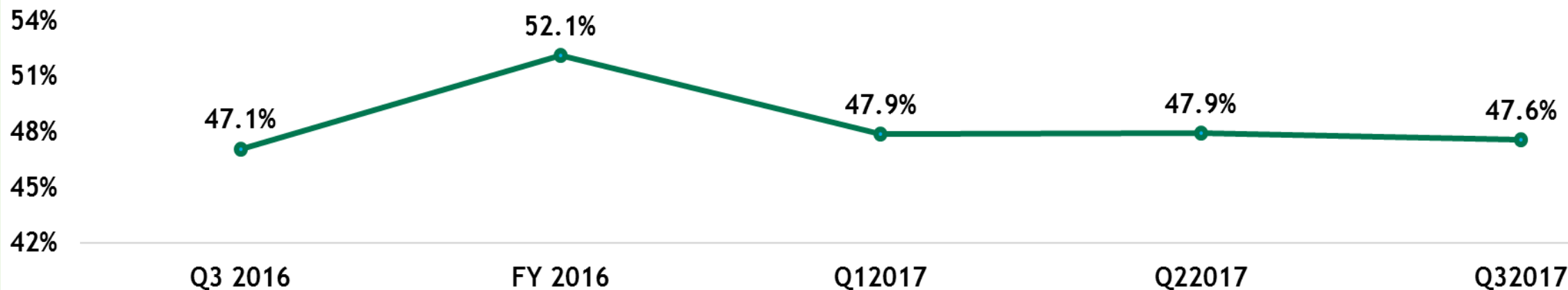
Staff cost growth YoY



Other expenses except staff and loan loss



CIR (Without Provision)



COMPANY	Profit Before Tax 3Q2017	Profit Before Tax 3Q2016	%
	KShs'000	KShs'000	KShs'000
The Co-operative Bank of Kenya Limited	13,215,655	14,915,399	-11.4%
Co-op Consultancy & Ins Agency Limited	353,907	153,376	130.7%
Co-op trust Investments Limited	29,999	34,281	-12.5%
Kingdom Securities Limited	82	(13,597)	100.6%
Co-Operative Bank of South Sudan	39,149	45,149	-13.3%
Total PBT before eliminations	13,638,792	15,134,608	-9.9%
Add: Share of profit from associates	99,093	90,812	9.1%
Group profit before tax	13,737,886	15,225,419	-9.8%
Income tax expense	4,201,626	4,684,235	-10.3%
Group profit after tax	9,536,259	10,541,184	-9.5%

Key Profit & Loss Ratios

	Q32017	Q32016	FY2016
Cost to Income(Excluding Provisions)	47.6%	47.1%	52.1%
Cost to Income (Including Provisions)	55.9%	53.1%	58.3%
Cost of average funds	4.0%	4.7%	4.5%
Staff Cost to Total Income	23.4%	20.7%	22.2%
Debt to Equity	41.6%	44.8%	32.3%
Average Return on Equity	20.1%	25.9%	22.7%
Average Return on assets	3.4%	4.1%	3.7%
FX to Non Funded income	15.2%	14.2%	14.1%
Non - Funded to Total Income	32.8%	30.6%	30.2%
Net Interest Margin(loans)	8.9%	10.7%	10.5%
Net Interest Margin(Earning Assets)	8.3%	10.0%	9.8%
Effective Corporate Tax Rate	30.6%	30.8%	31.6%

- ✓ Cost to Income : With the ongoing transformation strategy the ratio is expected to continue improving
- ✓ NIM : Stable and in line with the bank's projections

2017 Financial Outlook

	<u>Actual</u> Q3 2017	<u>Projections</u> FY 2017
Profit Before Tax Growth	-9.8%	Flat growth
Loans & Advances Growth	14.2%	12%
Deposits Growth	11.4%	12%
Cost to Income Ratio	47.6%	48%
Non Funded to Total Income	32.8%	35%
Return On Average Equity (ROAE)	20.1%	20%
Return On Average Assets (ROAA)	3.4%	3.5%
Non Performing Loans (NPL)	6.18%	6%
Cost of average funds	4.0%	4%
Net Interest Margin (NIM)	8.9%	9%
Cost of risk	1.4%	1.4%

Co-operative Bank will continue to show resilience in the Balance sheet and profitability growth.

The political environment is expected to improve and will have a positive impact on the economic environment. The Bank is well positioned to take the opportunities that will arise as the Government continues to carry out Vision 2030 projects in infrastructure, ICT, Energy Generation etc.

We will leverage on our strong balance sheet, a cost effective operating structure anchored on the ongoing 'Soaring Eagle' Transformation project and a highly motivated team.

Thank You



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